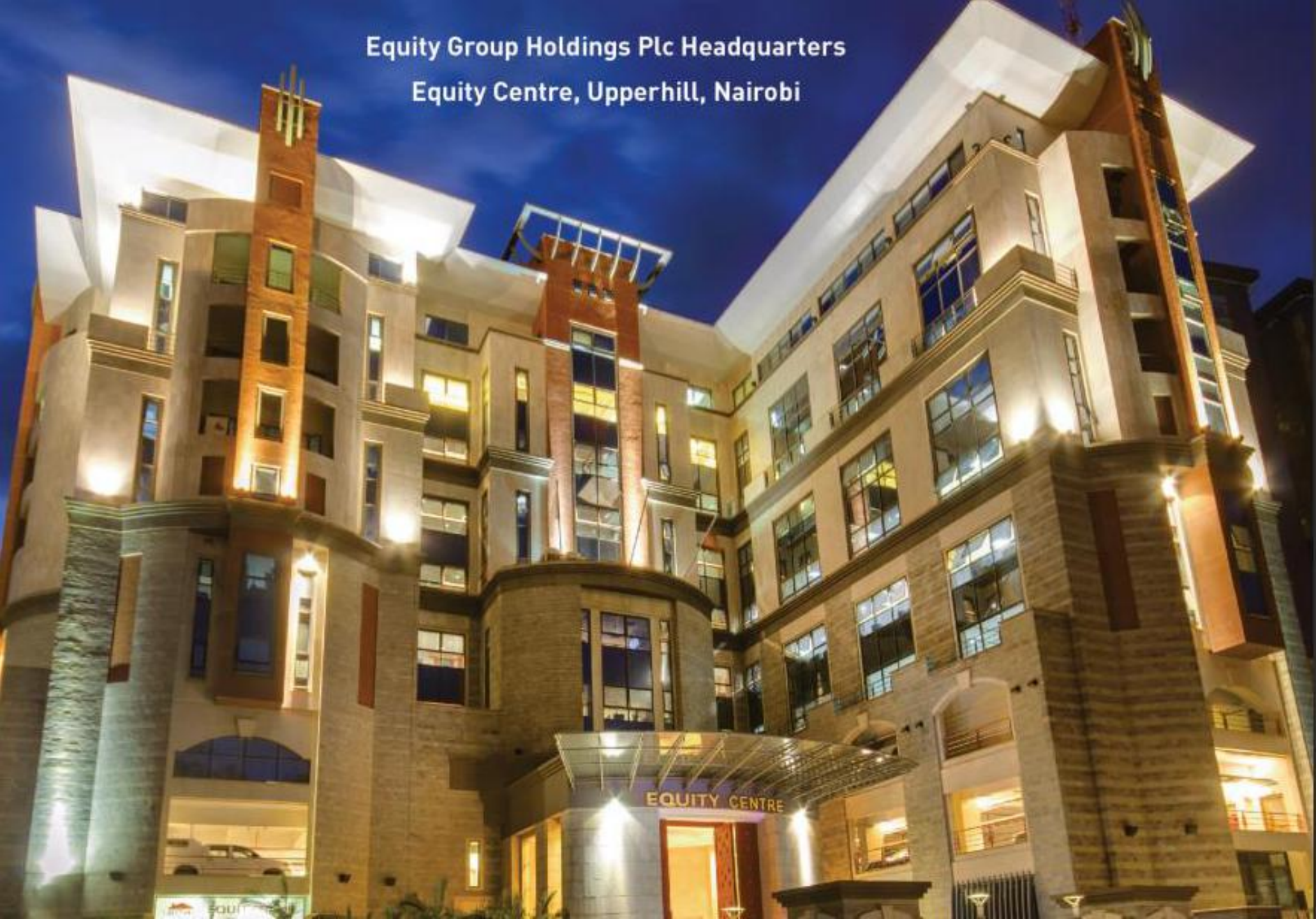


Investor Briefing

H 1 2023 Performance



Equity Group Holdings Plc Headquarters
Equity Centre, Upperhill, Nairobi



Equity Group's Philosophies



Our Purpose:

Transforming lives, giving dignity and expanding opportunities for wealth creation

Our Mission:

We offer integrated financial services that socially and economically empower consumers, businesses and communities

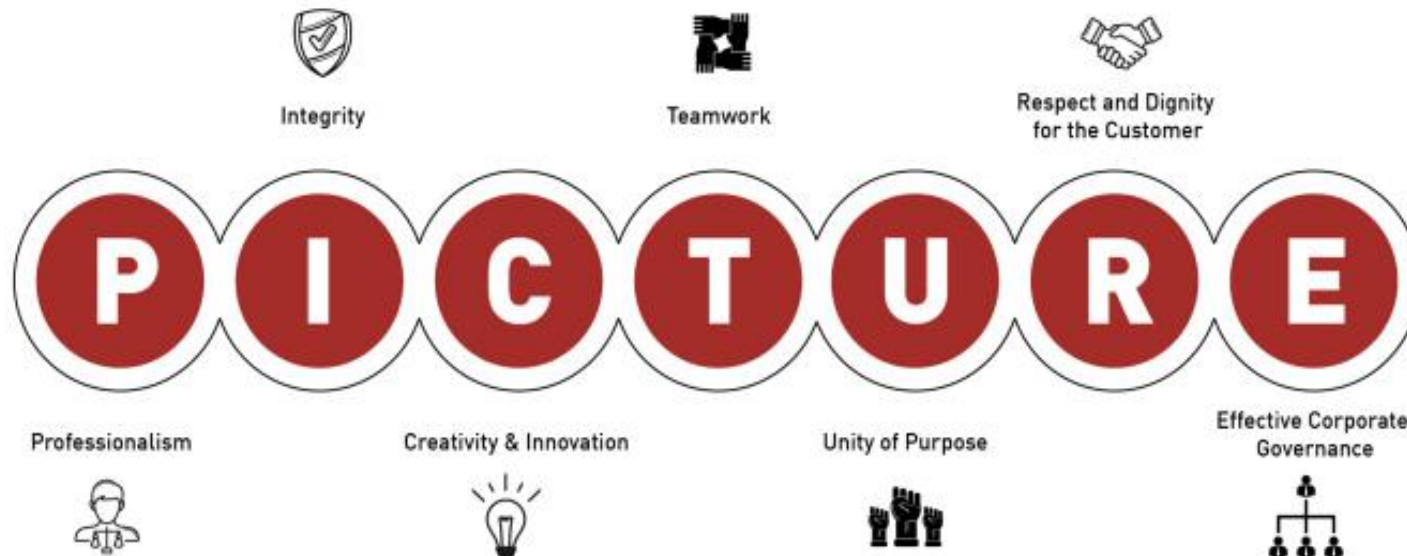
Our Vision:

To be the champion of the socio-economic prosperity of the people of Africa

Positioning Statement:

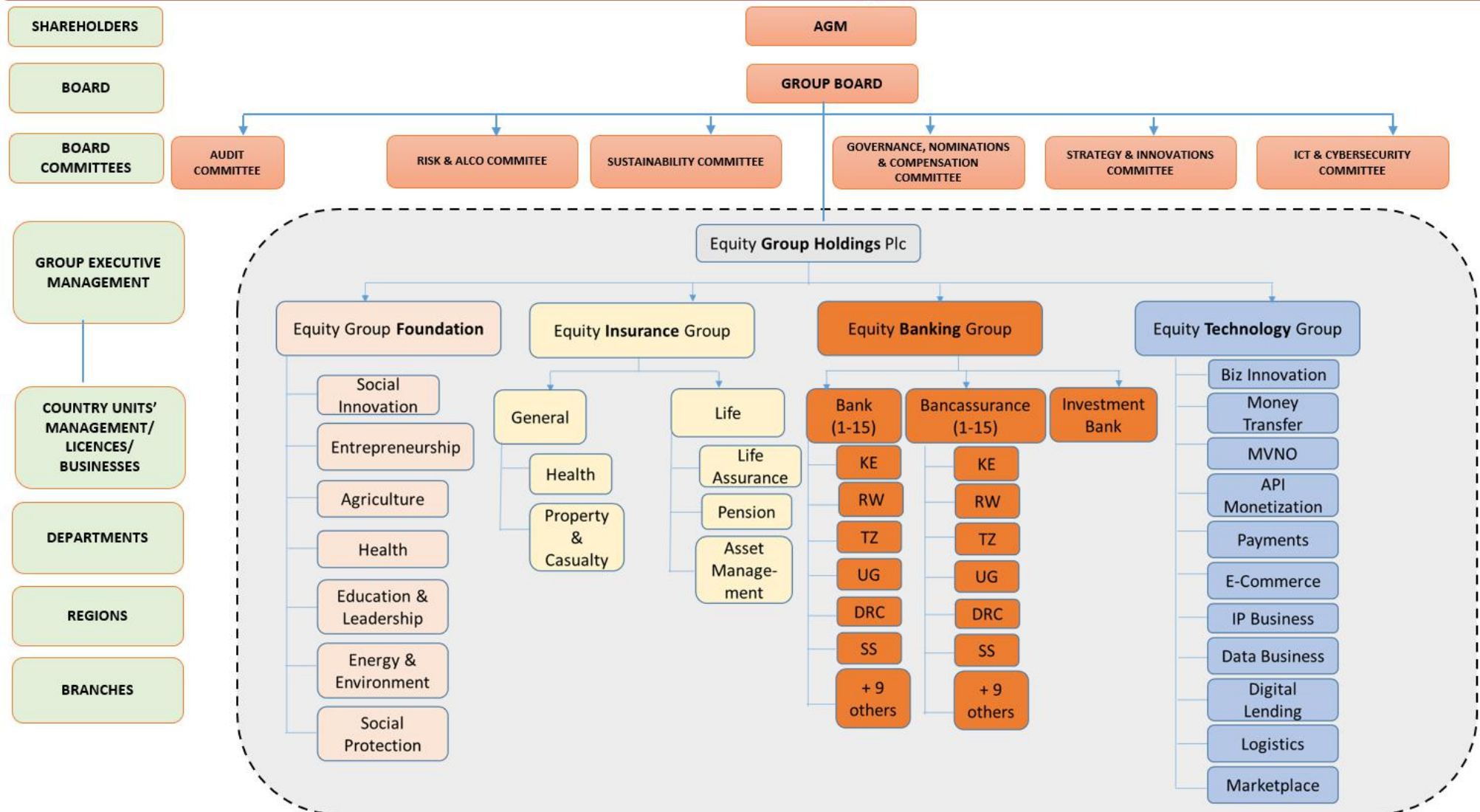
We provide inclusive financial services that transform livelihoods, give dignity and expand opportunities

Our Core Values:

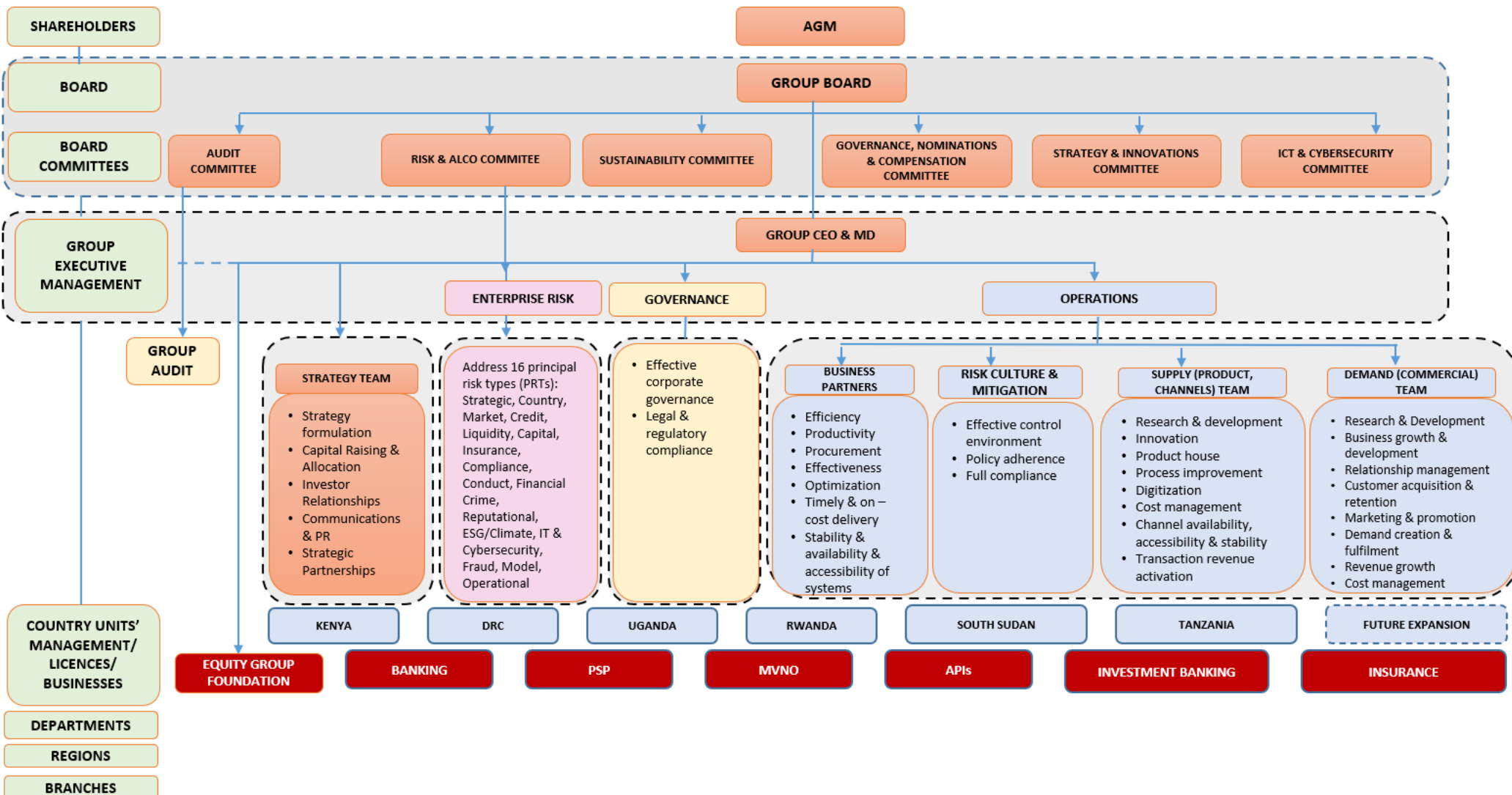




Governance & Risk Management Framework

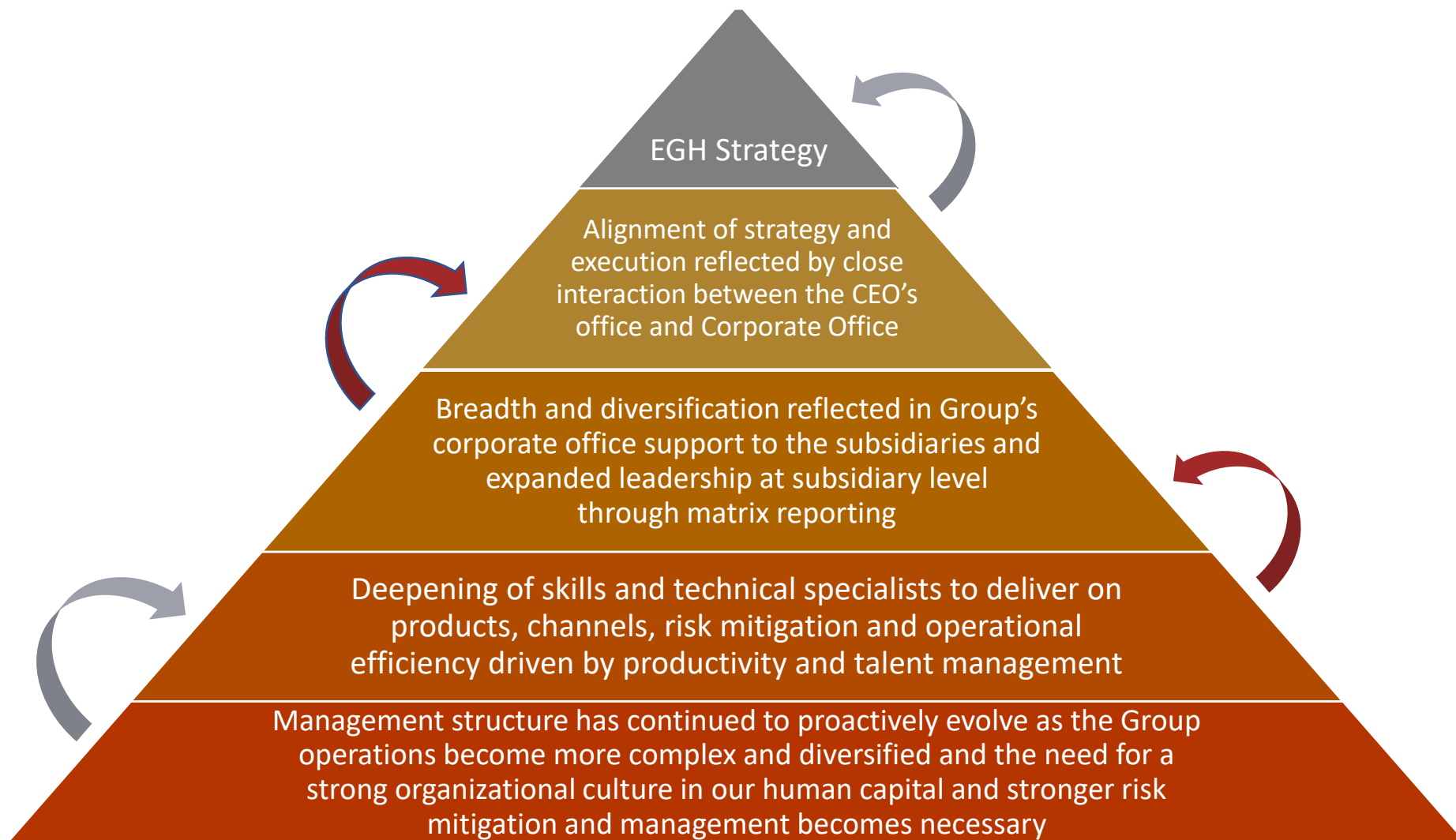


Governance & Responsibility Framework



Governance and Organizational Structure

Breadth and Depth of the Management Team





Macroeconomic and Operating Environment

Global macro environment

Further rate hikes expected from major central banks



Figure 1: US Fed rate - forecasts %



Source: Bloomberg

- The world's major central bankers have indicated that further tightening of monetary policy is likely, to counter inflation which remains above their targets.
- The market expects the US Fed funds' rate is expected to peak in 3Q23.
- Higher interest rates in the world's major economies, implies foreign capital inflows into emerging and developing economies will remain subdued.

Figure 2: US Fed rate, %

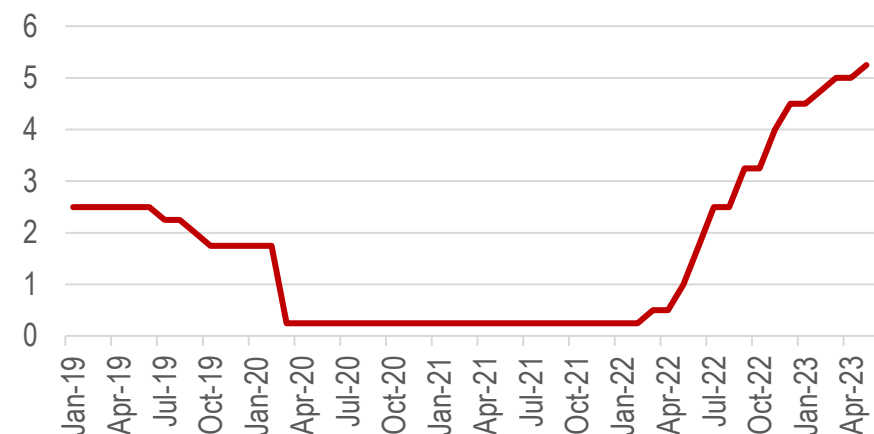
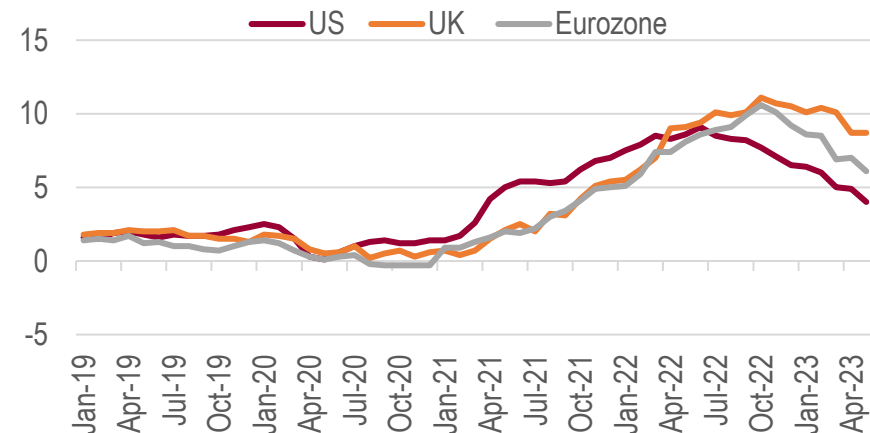


Figure 3: Inflation, % YoY

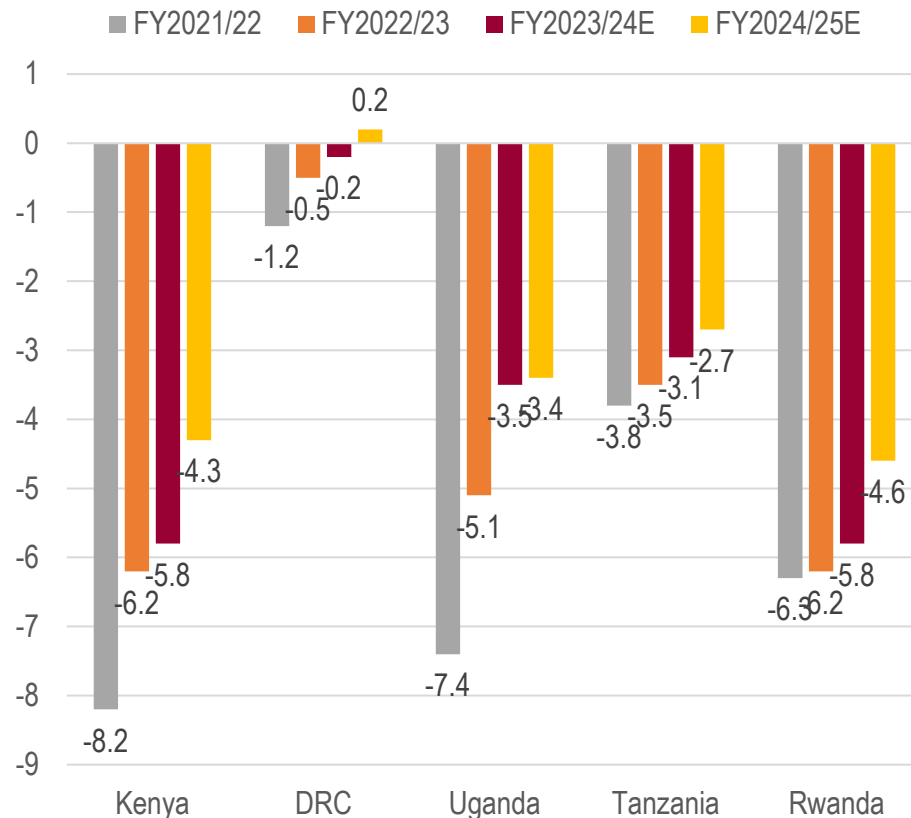


East Africa – fastest growing region in the world

Governments bringing down their budget deficits



Figure 4: Budget deficit, % of GDP



- The government budgets proposed in June by most of the member states of the East African Community, indicated fiscal consolidation, implying continued focus on reducing the budget deficit. This policy is intended to rebuild fiscal buffers that have been eroded.
- In a global economy facing several headwinds, we believe mid-to-high-single-digit real GDP growth goes a long way towards mitigating the risks from macroeconomic imbalances. East Africa is the fastest growing region in the world; we expect it to grow at 5.7% in 2023,
- We believe the region's robust real GDP growth will help mobilise the government revenue required to reduce negative budget deficit/GDP balances, and in so doing, lower public debt/GDP over the medium term.

Overview of “Africa Recovery and Resilience Plan”



The Plan

The Africa Recovery and Resilience Plan is aimed at catalysing a demand complementarity-led transformation of Africa, underpinned by: **(i) capacitating and enhancing productivity of raw material producers, (ii) integrating primary producers to more co-ordinated African productive / manufacturing capacities; and (iii) connecting these primary and secondary sectors to global supply chains (and capital markets) that are now more focused on reducing concentration risks with increased focused on assurance of accessibility.**

Equity Group’s execution of the “Africa Recovery and Resilience Plan” will be underpinned by its **Social and Economic Engines** that capacitates value chains (Social Engine) and provide holistic financial solutions to productive ecosystems (Economic Engine).

Equity Group’s excess liquidity (currently ~2% of cumulative GDP of east and central Africa) will be redirected to the private sector across various value chains.

6 Pillars of the Plan

The Plan comprises 6 strategic pillars that ensure a systematic, co-ordinated and holistic framework for execution:

- **A more coherent and productive natural resource ecosystem in agriculture and extractives** – more coordinated, connected and capacitated primary supply chains will drive higher productivity and throughput
- **Manufacturing and logistic anchors** – Africa has an opportunity to leverage off its natural endowments to anchor expansion of productive capacities and manufacturing capacity. More importantly, a coherent primary sector which is integrated to pan-African productive capacities will drive demand complementarities across regional blocs over the medium- to long-term
- **Trade and investment to give broader market access and support factor mobility** – expanded markets and access to technology, capital and skills will enhance offtake of African products and services
- **MSMEs** – connectivity of small businesses into formal primary and secondary sector value chains will enrich and drive more integrated domestic value chains / demand complementarities
- **Social and environmental transformation** – capacity building of value chain stakeholders, especially amongst smallholder farmers and MSMEs will drive sustainable productivity gains and improve ease of factor mobility
- **Technology-enabled economy** – online businesses will accelerate connectivity and velocity in ecosystems

Objectives of the Plan

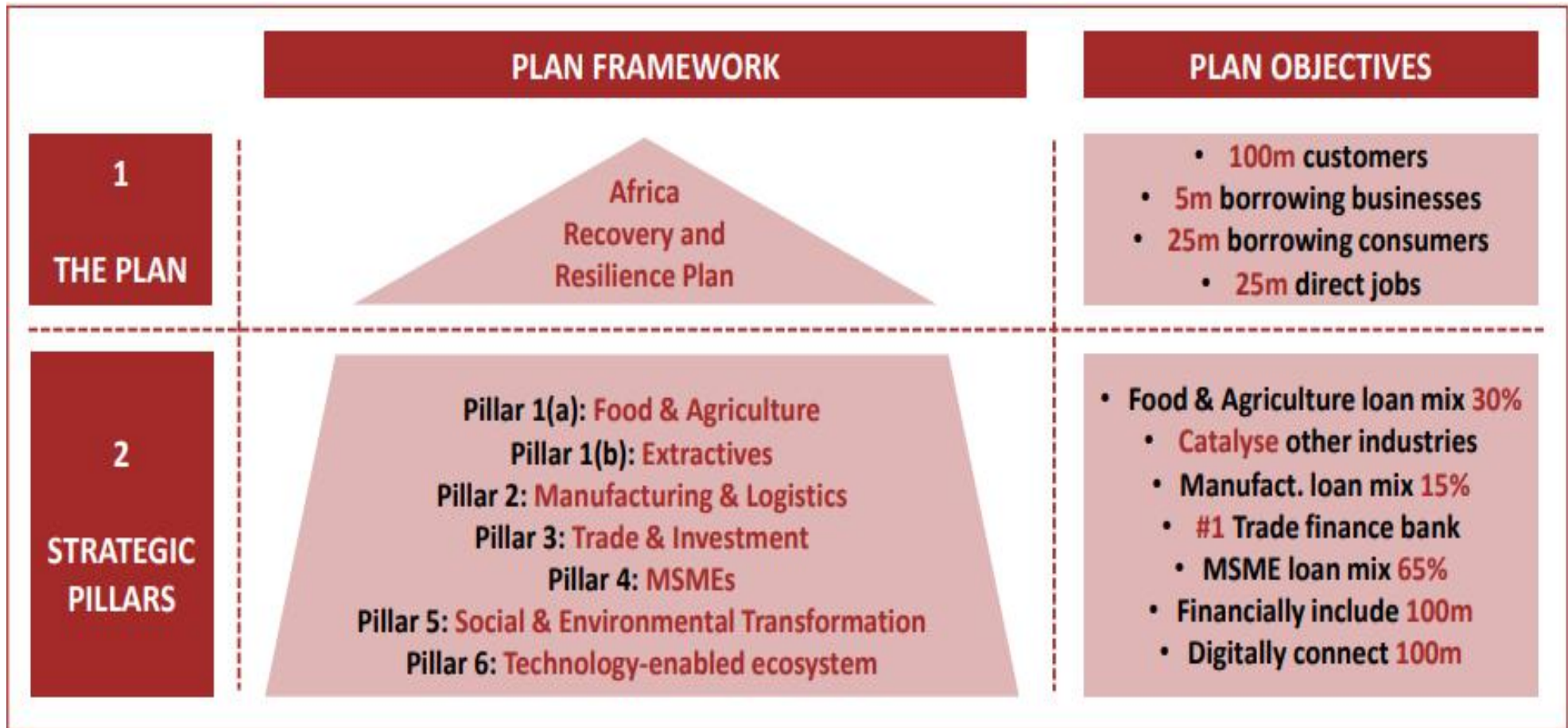
The first phase (end 2030) objectives of the plan include:

1. **Inclusivity of 100 million online businesses and consumers:** Economic and social inclusion of more productive households and financially enabled value chains
2. **Multiplier effect of 5 million borrowing businesses and 25 million borrowing consumers:** borrowing businesses to drive value chain expansion and employment, whilst consumer borrowing to enable household aspirations and livelihoods
3. **Employment of 50 million:** 25 million direct jobs to be created as businesses grow and a further 25 million indirect jobs created as value chains expand and deepen
4. **Additional private sector lending of ~2% of regional GDP:** loan book to be directed towards agriculture (30%), manufacturing (15%), MSMEs (65%)

2030 Strategy Framework



Equity Group's 2030 strategy is a multi-pronged and holistic solution to achieve social and economic transformation of Africa. The strategy comprises 6 strategic pillars that will be operationalized through a collaborative, deliberate and ecosystem-centric approach. The plan was conceived with execution in mind and with no economic and financial assumptions, only targets!





Equity Bank Business Model & Strategy

Equity Bank Business Model & Strategy Focus

Inclusive, High volume, Low Margin, Digital and Experiential, Agile and Quality-Driven
Business Model



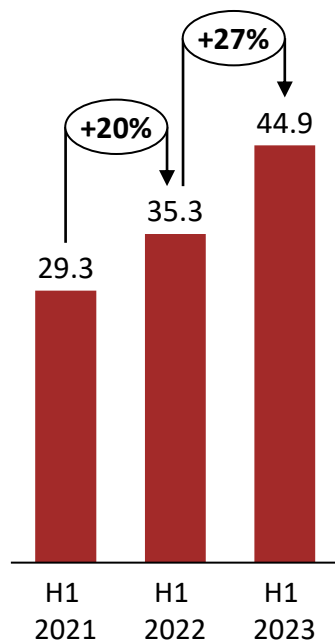
1. Non-Funded Income Growth
2. Treasury Efficiency
3. Geographical Expansion and Business Diversification
4. Balance Sheet Efficiency, Optimization and Agility
5. Business Transformation - Innovation and Digitization
6. Asset Quality, Distribution and Risk Mitigation
7. Efficiency and Cost Optimization
8. Impact Investment & Social Brand Development

Non-Funded Income Growth

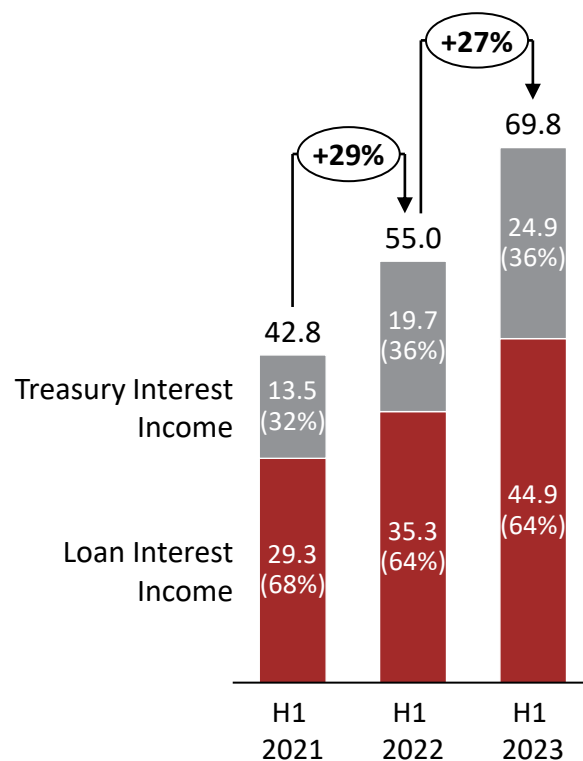


Kes Billion

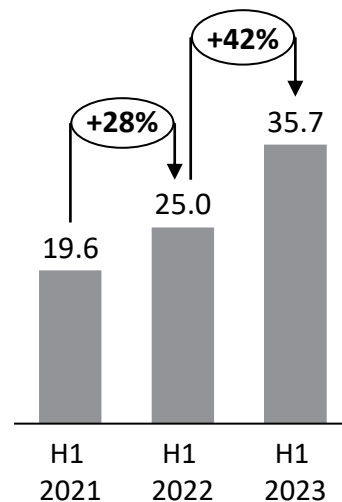
Gross Loan Interest Income Growth Trend



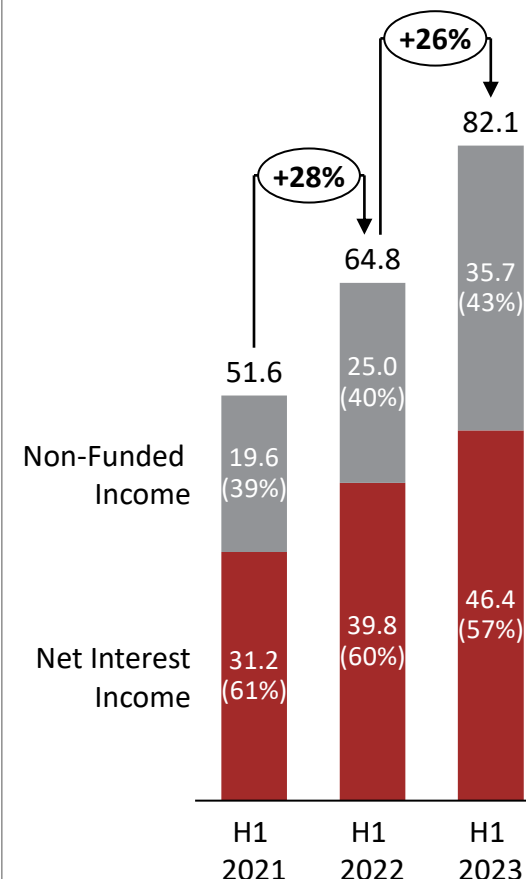
Gross Interest Income Growth Trend



Non-Funded Income Growth Trend



Contribution to Total Income



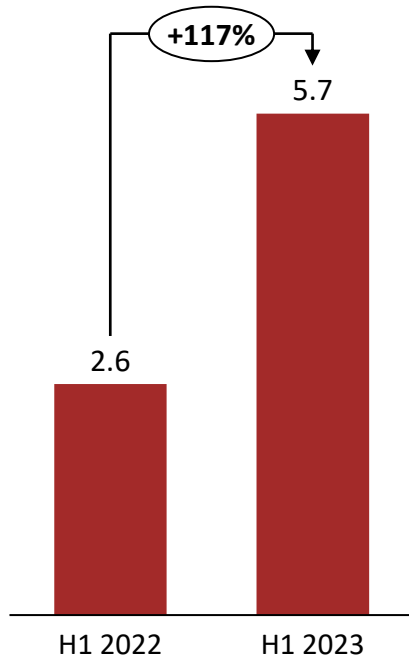
Focus Area 1: Non-Funded Income

Trade Finance Performance

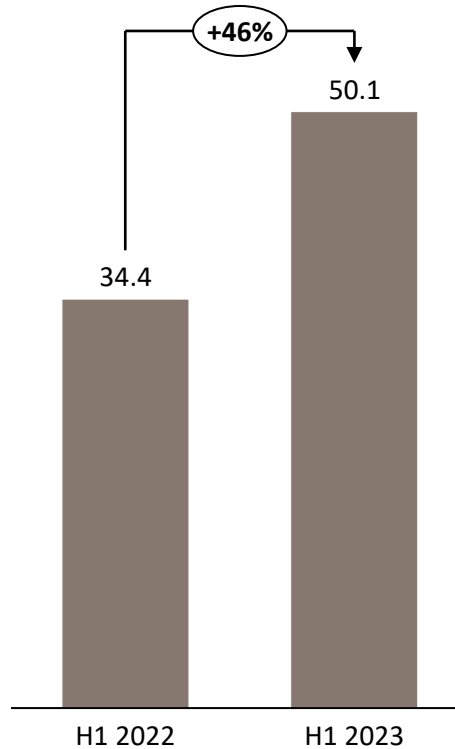


Kes Billion

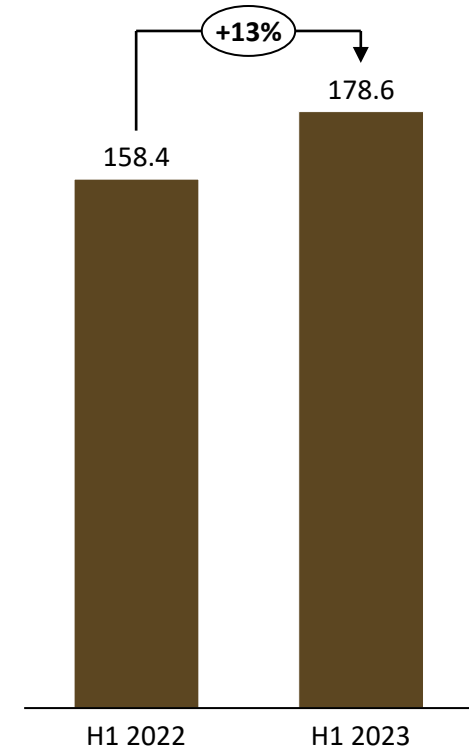
Gross trade finance revenue



Trade finance related lending



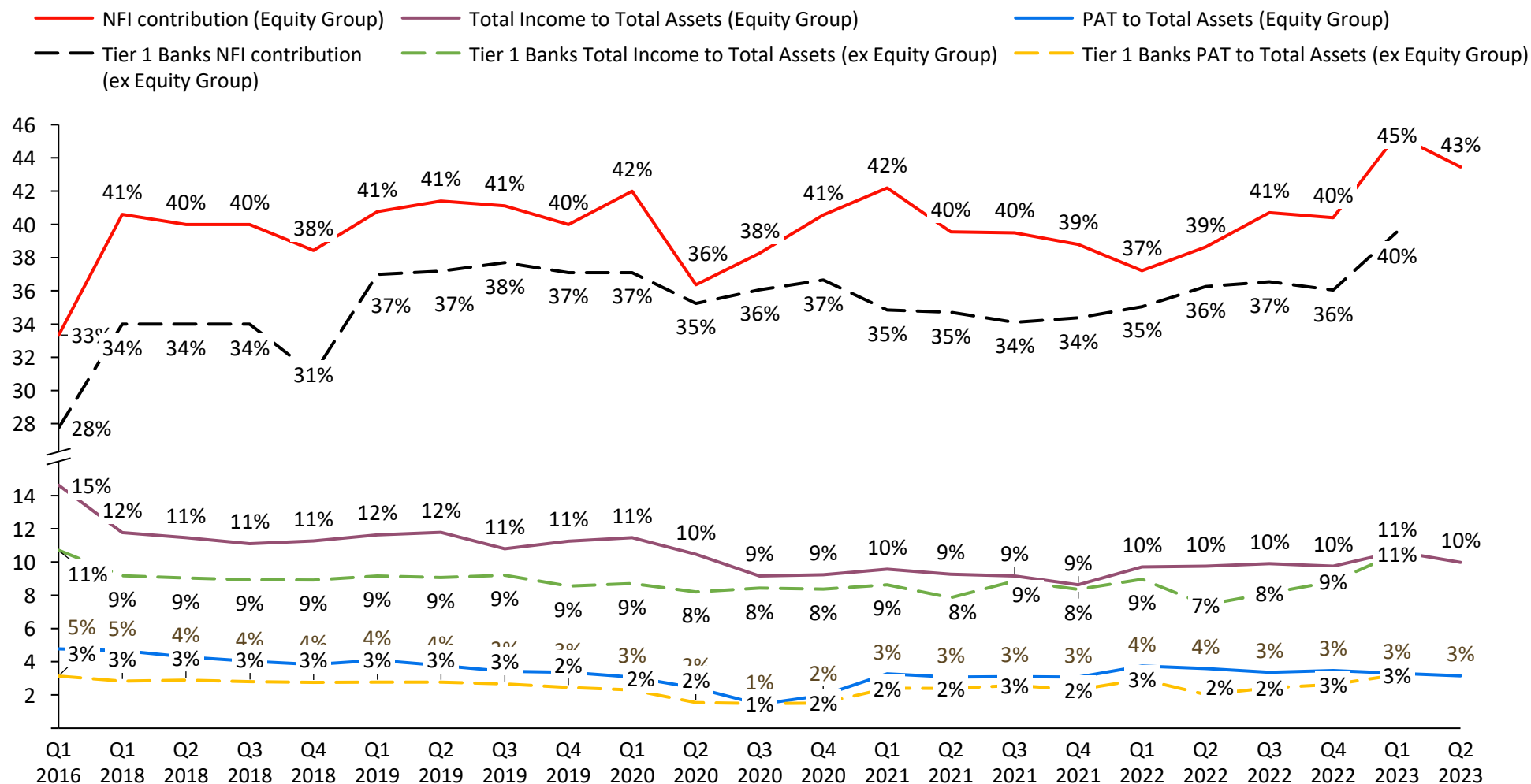
Trade finance guarantees & off-balance sheet Items



Focus Area 1: NFI Contribution



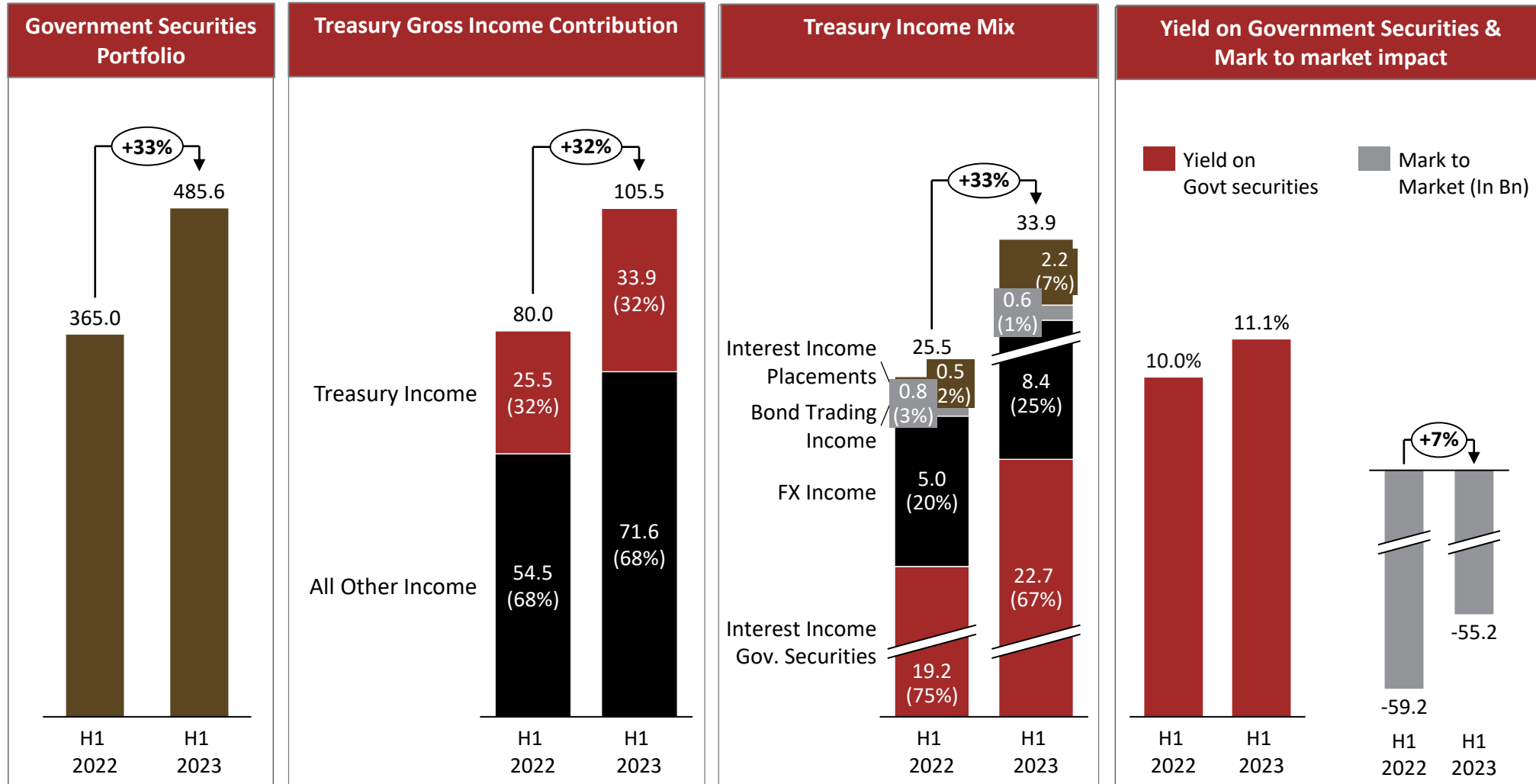
Equity Group still more diversified than the sector's average as at Q1 2023. Equity's focus on NFI has led to superior returns compared to the market with higher income and profitability on total assets



Treasury Efficiency



Kes Billion



Subsidiaries Performance and Contribution



Kes Billion

H1 2023	EBTL	EBRL	EBUL	EBSS	Equity BCDC	EBIL	EIB	Finserve &Azenia	ELAK	Other Subs Total (% Contribution)	EBKL (% Contribution)	Group (% growth)	Other Subs Contribution H1 2023	Other Subs Contribution H1 2022
Deposit	37.0	60.6	116.3	11.9	407.0					632.7	686.2	1,175.8	48%	47%
YoY Growth	29%	42%	51%	38%	33%					48%	52%	21%		
Loan	27.4	31.8	66.5	0.6	231.5					357.8	459.4	817.2	44%	36%
YoY Growth	34%	10%	34%	53%	73%					44%	56%	26%		
Assets	50.0	79.2	143.2	18.2	507.9	0.77	0.86	7.99	7.21	815.4	972.9	1,644.8	46%	40%
YoY Growth	25%	37%	49%	34%	38%	-21%	26%	74%	116%	46%	54%	23%		
Revenue	2.5	4.3	7.0	2.1	23.7	0.55	0.17	2.06	0.82	43.2	44.2	82.1	49%	40%
YoY Growth	27%	44%	28%	83%	80%	-10%	40%	97%	187%	49%	51%	26%		
Cost before provisions	1.5	1.6	4.2	0.4	12.3	0.18	0.07	2.10	0.50	22.9	20.7	40.6	53%	50%
YoY Growth	28%	34%	44%	-34%	45%	9%	13%	116%	117%	53%	47%	33%		
PBT before provisions	1.0	2.7	2.8	1.7	11.4	0.37	0.10	-0.04	0.32	20.3	23.5	41.5	46%	31%
YoY Growth	25%	50%	10%	269%	144%	-17%	66%	-47%	468%	46%	54%	21%		
PBT	0.7	2.5	2.3	1.7	8.9	0.37	0.10	-0.04	0.32	16.9	20.3	35.2	45%	29%
YoY Growth	67%	59%	14%	269%	130%	-17%	66%	153%	468%	45%	55%	14%		
PAT	0.6	1.7	1.8	1.2	6.2	0.26	0.08	-0.03	0.32	12.1	15.6	26.3	44%	27%
YoY Growth	93%	59%	18%	222%	105%	-17%	30%	-30%	468%	44%	56%	8%		
RoAE	16.3%	41.3%	23.5%	57.5%	24.7%	245.6%	34.0%	39.9%	61.5%	27.5%	31.3%	27.7%		
Cost of Capital	20%	19%	19%	>25%	22%	18%	18%	18%	18%	21%	18%	19%		

Geographical Expansion and Business Diversification

Performance Trend - Banking Subsidiaries: Value creation and growth



RoAE			RoAA		
Subsidiary	H1 2022	H1 2023	Subsidiary	H1 2022	H1 2023
EBKL	35.5%	31.3%	EBKL	4.2%	3.4%
EBUL	23.0%	23.5%	EBUL	3.3%	2.9%
EBRL	29.7%	41.3%	EBRL	4.0%	4.9%
EBTL	10.7%	16.3%	EBTL	1.6%	2.4%
EquityBCDC	20.0%	24.7%	EquityBCDC	1.6%	2.7%
EBSSL	17.4%	57.5%	EBSSL	5.3%	13.3%
EBIL	161.9%	245.6%	EBIL	66.9%	62.0%
ELAK	23.8%	61.5%	ELAK	3.4%	10.1%

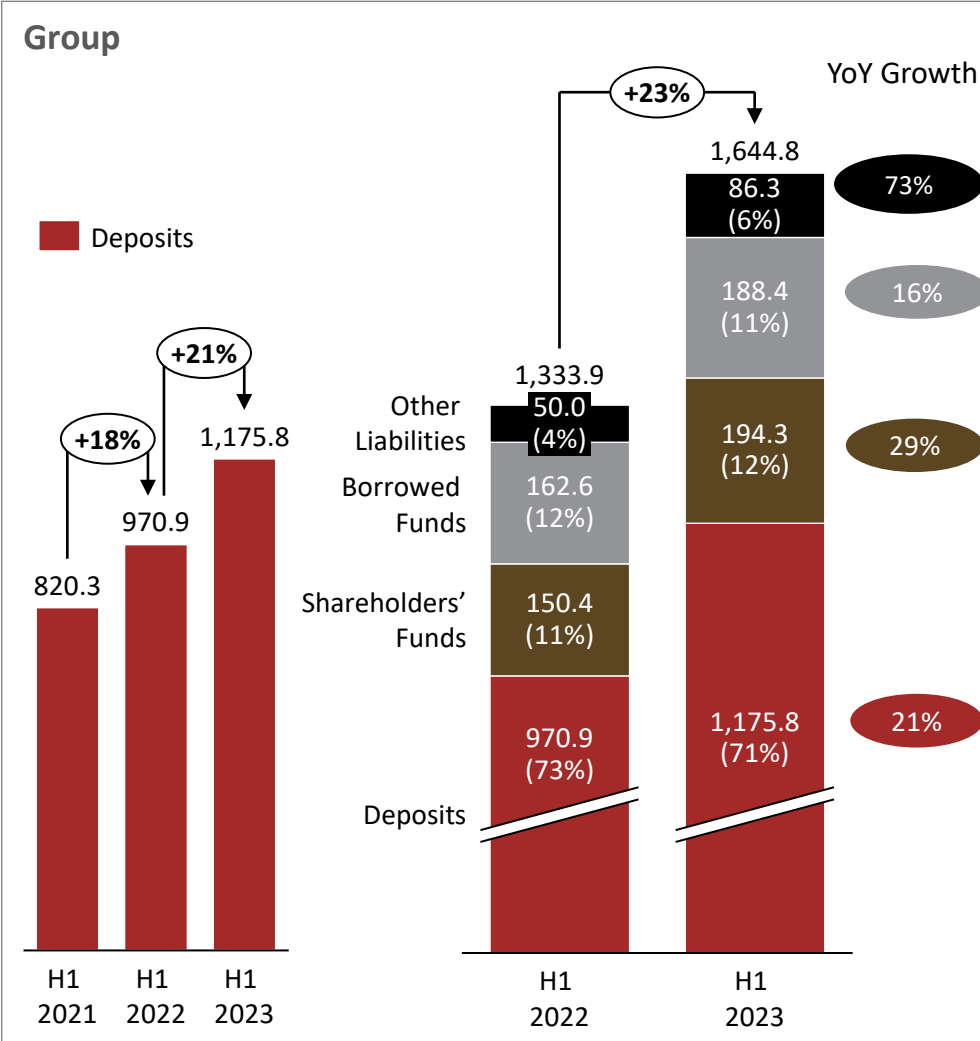
Cost-to-Assets Ratio			Cost-to-Income Ratio		
Subsidiary	H1 2022	H1 2023	Subsidiary	H1 2022	H1 2023
EBKL	3.7%	4.7%	EBKL	39.2%	46.4%
EBUL	6.4%	6.7%	EBUL	53.6%	60.0%
EBRL	4.2%	5.0%	EBRL	38.3%	35.7%
EBTL	6.8%	7.7%	EBTL	61.6%	62.2%
EquityBCDC	4.5%	5.9%	EquityBCDC	64.3%	51.7%
EBSSL	10.5%	5.7%	EBSSL	61.3%	22.1%
EBIL	36.0%	43.9%	EBIL	27.4%	33.2%
ELAK	13.8%	18.8%	ELAK	80.3%	60.9%

Balance Sheet Efficiency, Optimization and Agility

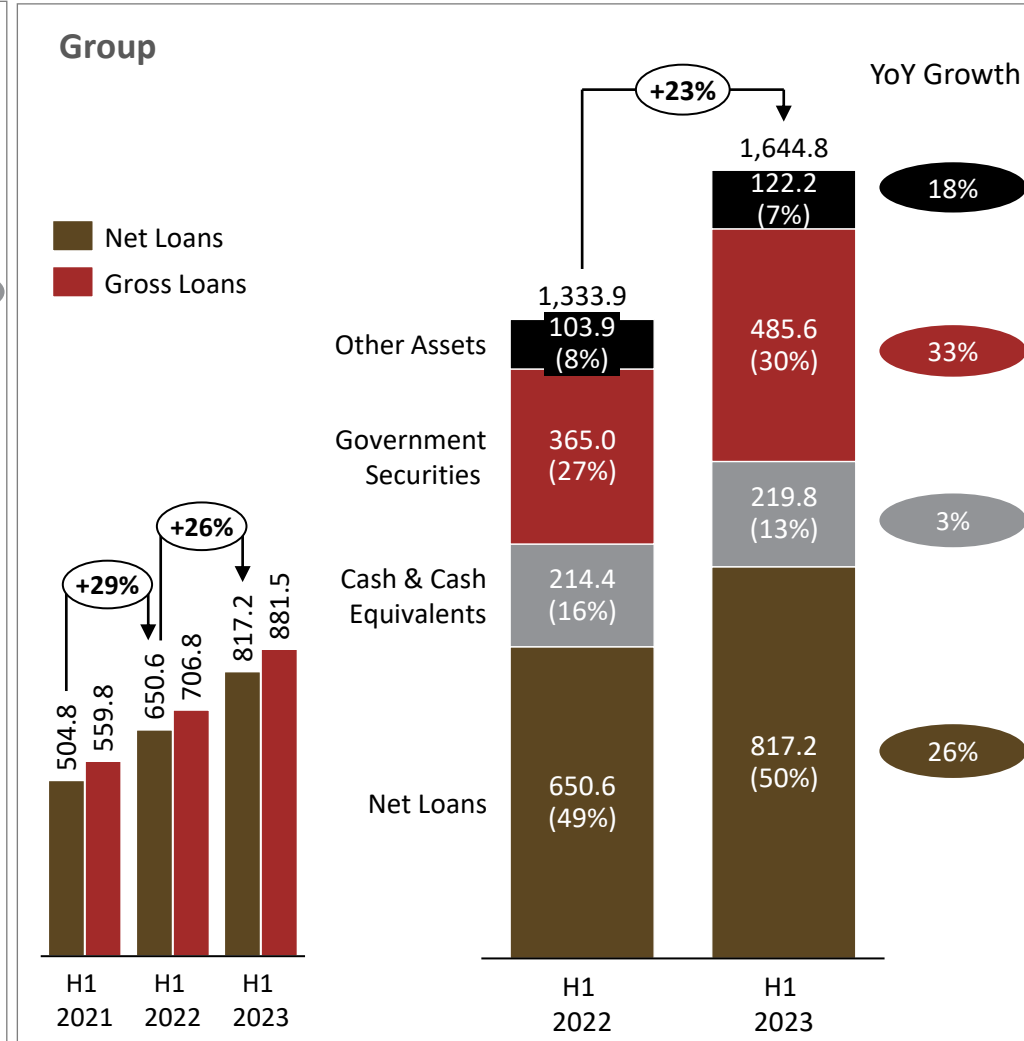


Kes Billion

Funding Structure and Leverage



Asset Mix

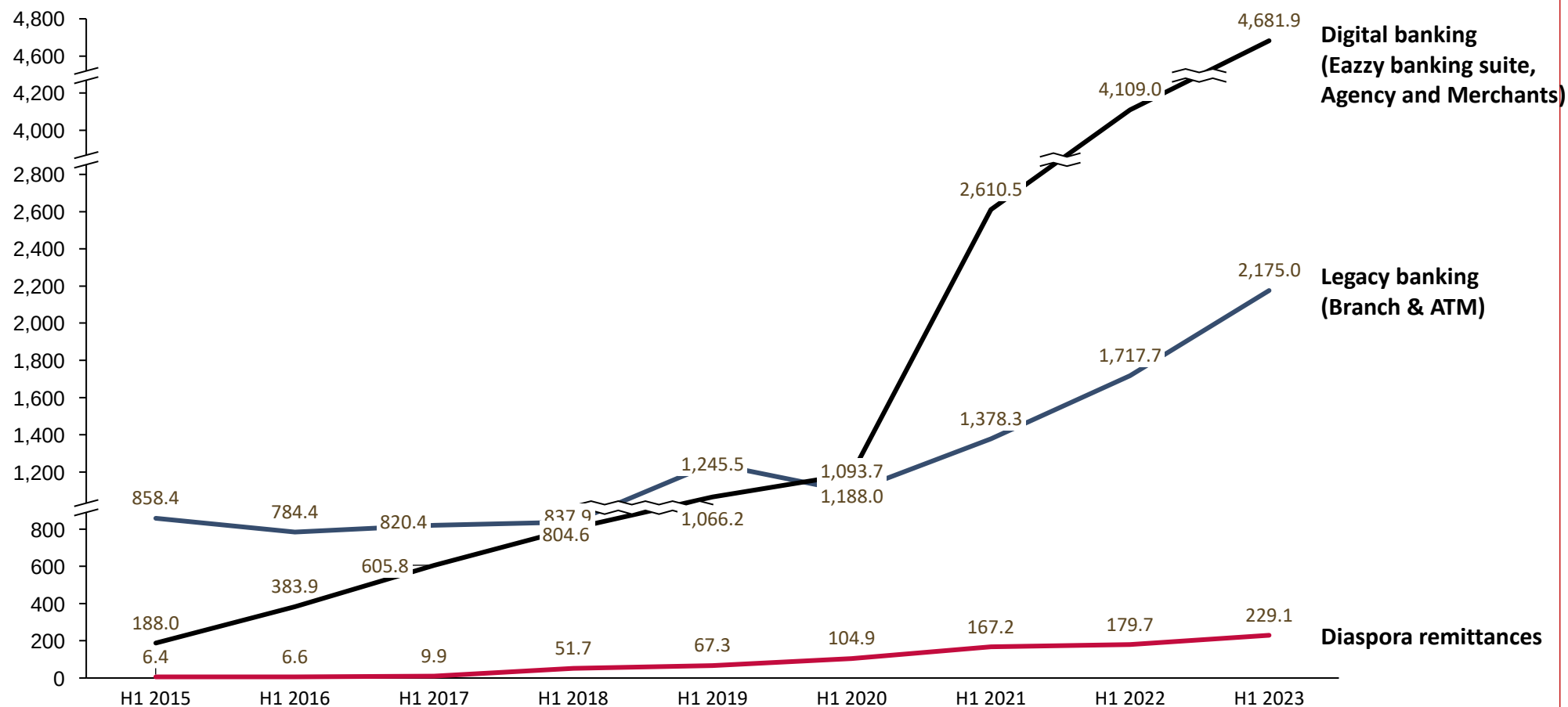


Focus Area 5: Business Transformation - Innovation and Digitization



Digital business: Enabling transition from fixed cost to 3rd party variable cost channels and self-service platforms

Value in Kes Billions

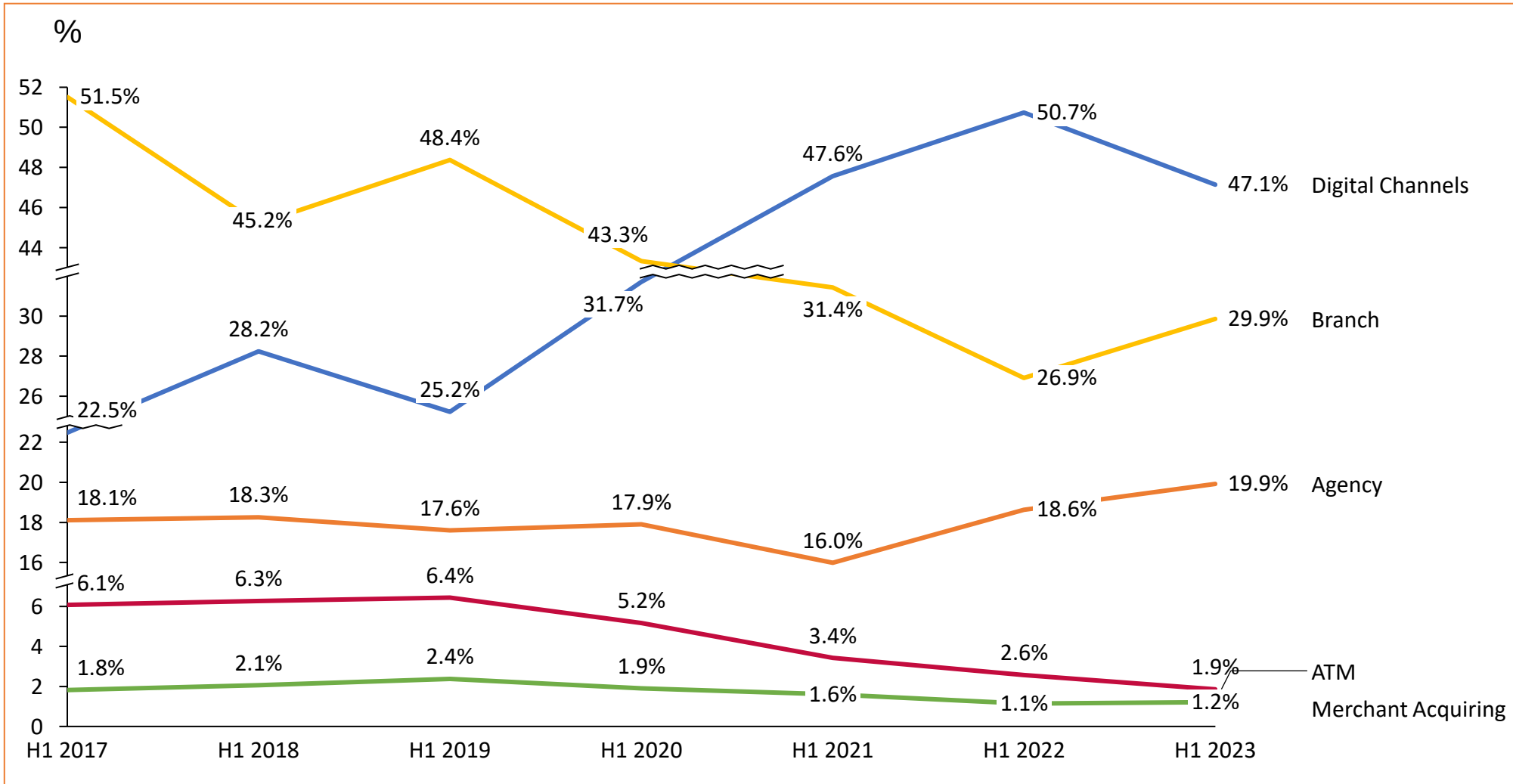


Focus Area 5: Business Transformation - Fintech Capabilities: Self-Service Channels

70% of our Transactions Value outside the branch



Branches now handling high value transactions for SME, corporates, wealth management & advisory services



Focus Area 5: Business Transformation - Innovation and Digitization

Migrating from Fixed and variable cost channels to self-service channels

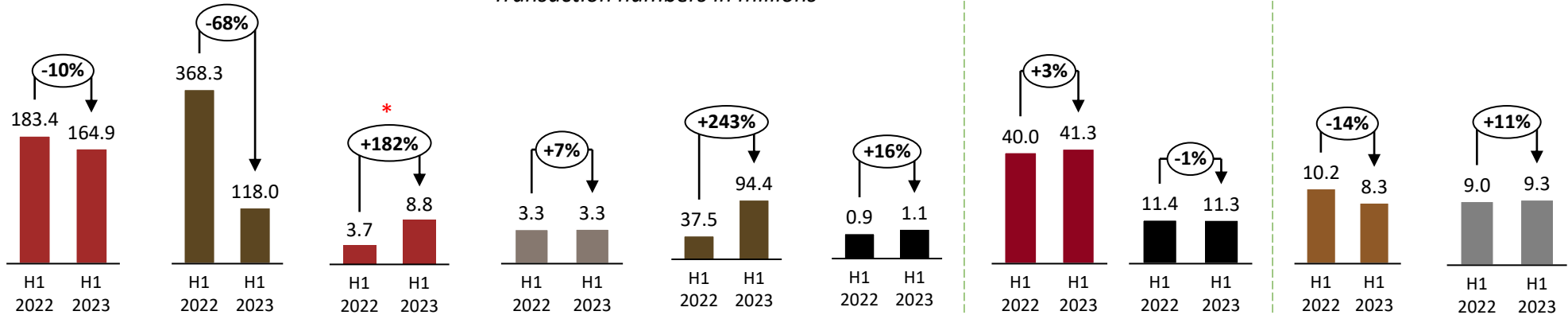


Self-service channels

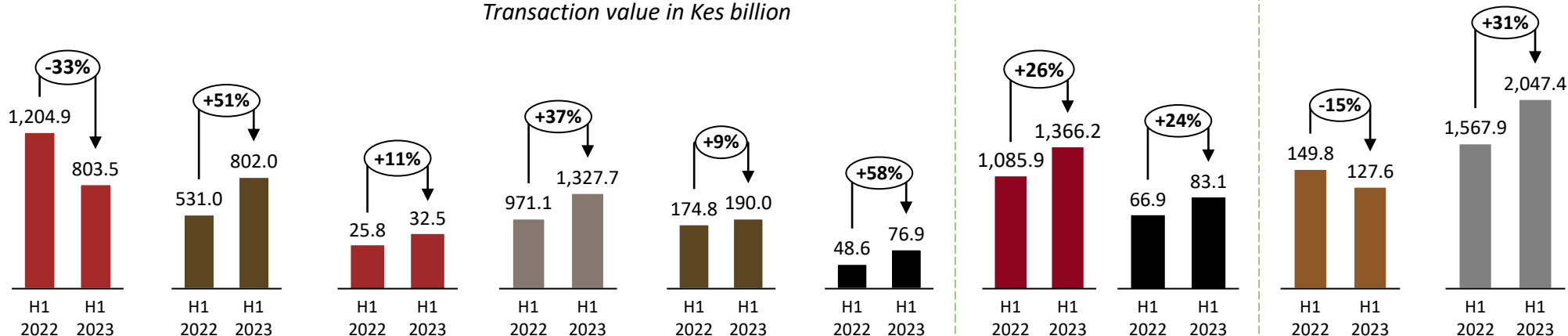
Variable cost channels

Fixed cost channels

Transaction numbers in millions



Transaction value in Kes billion



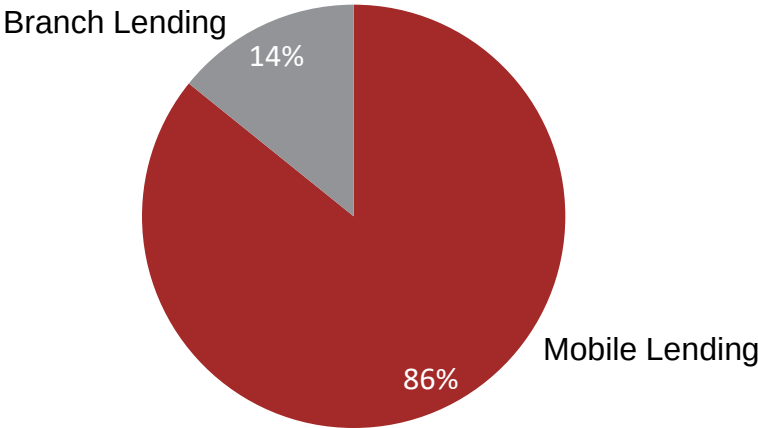
Focus Area 5: Business Transformation - Fintech Capabilities: Data Strategy, Decision Science and Analytics



87% of our Loan Transactions via Mobile Channel

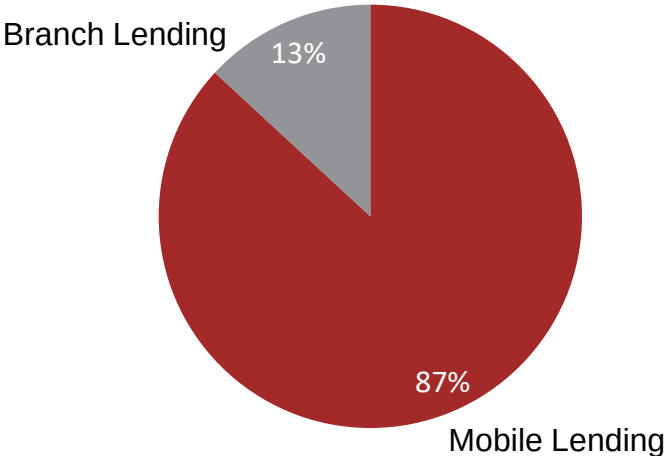
H1 2022

Transaction count

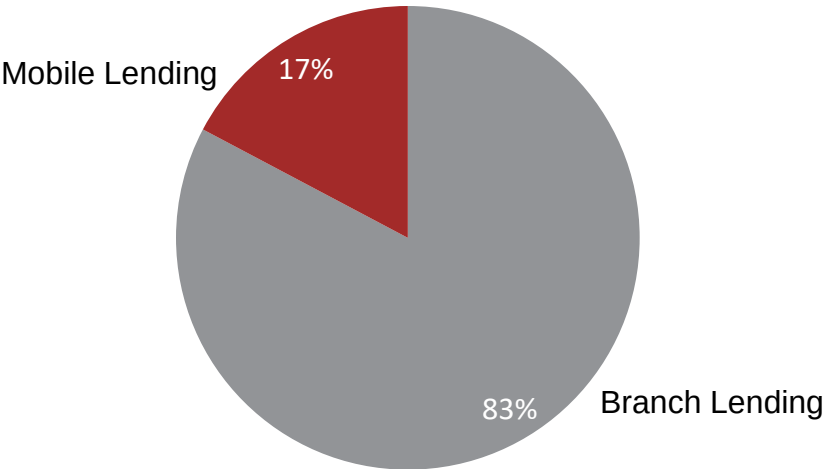


H1 2023

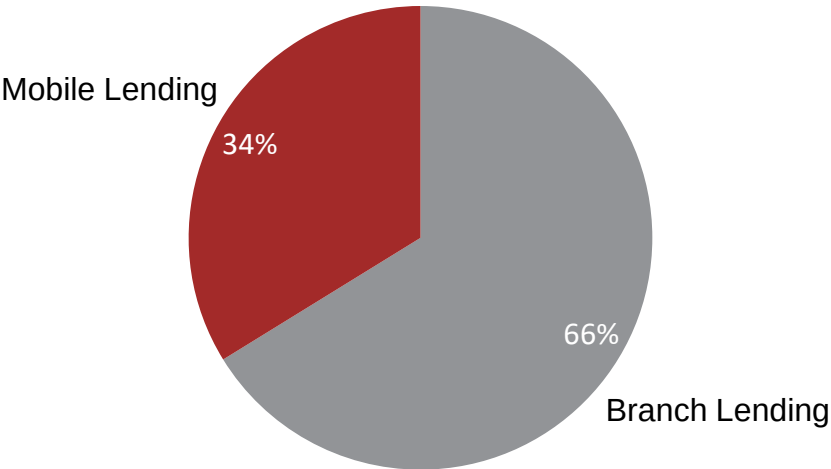
Transaction count



Transaction value



Transaction value



Focus Area 5: Business Transformation - Fintech Capabilities: Lifestyle Support

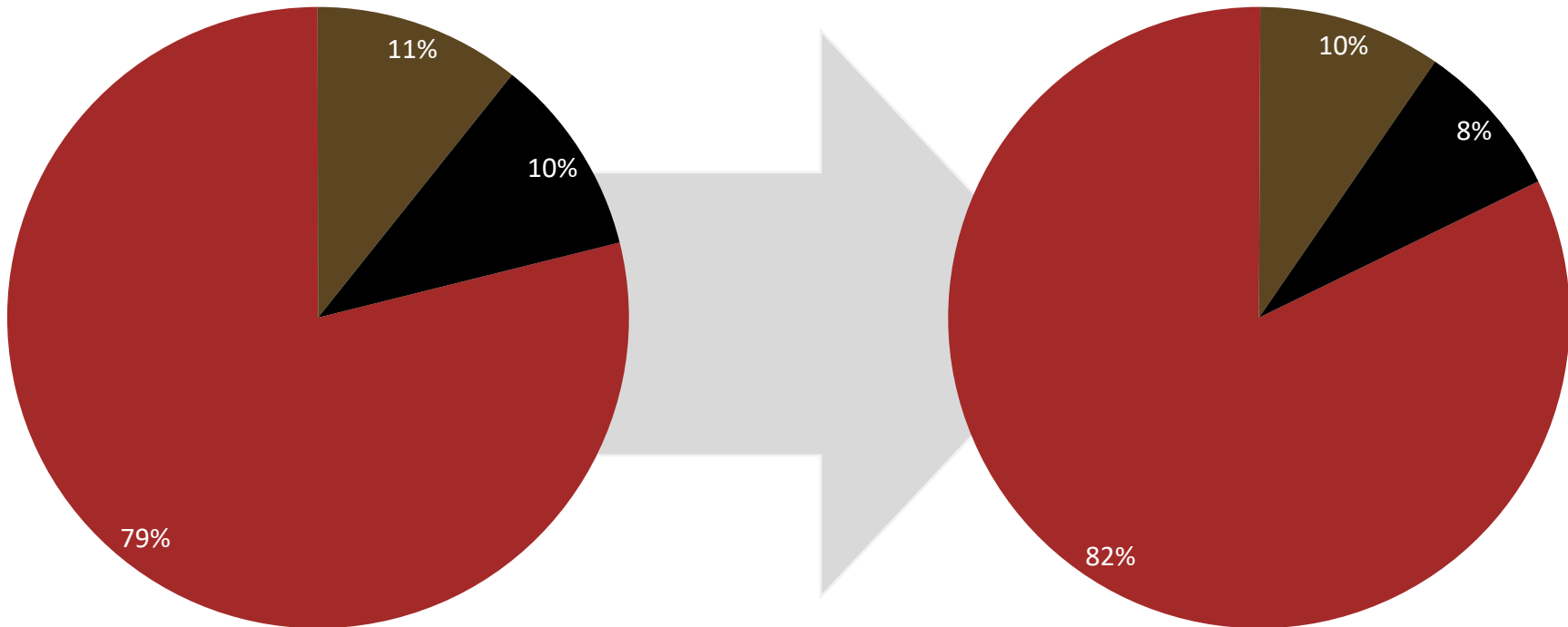
Payments Processing Capabilities – Promoting a Cashless Economy



82% of our customers using cashless payment capabilities rather than transacting in cash

H1 2022

H1 2023

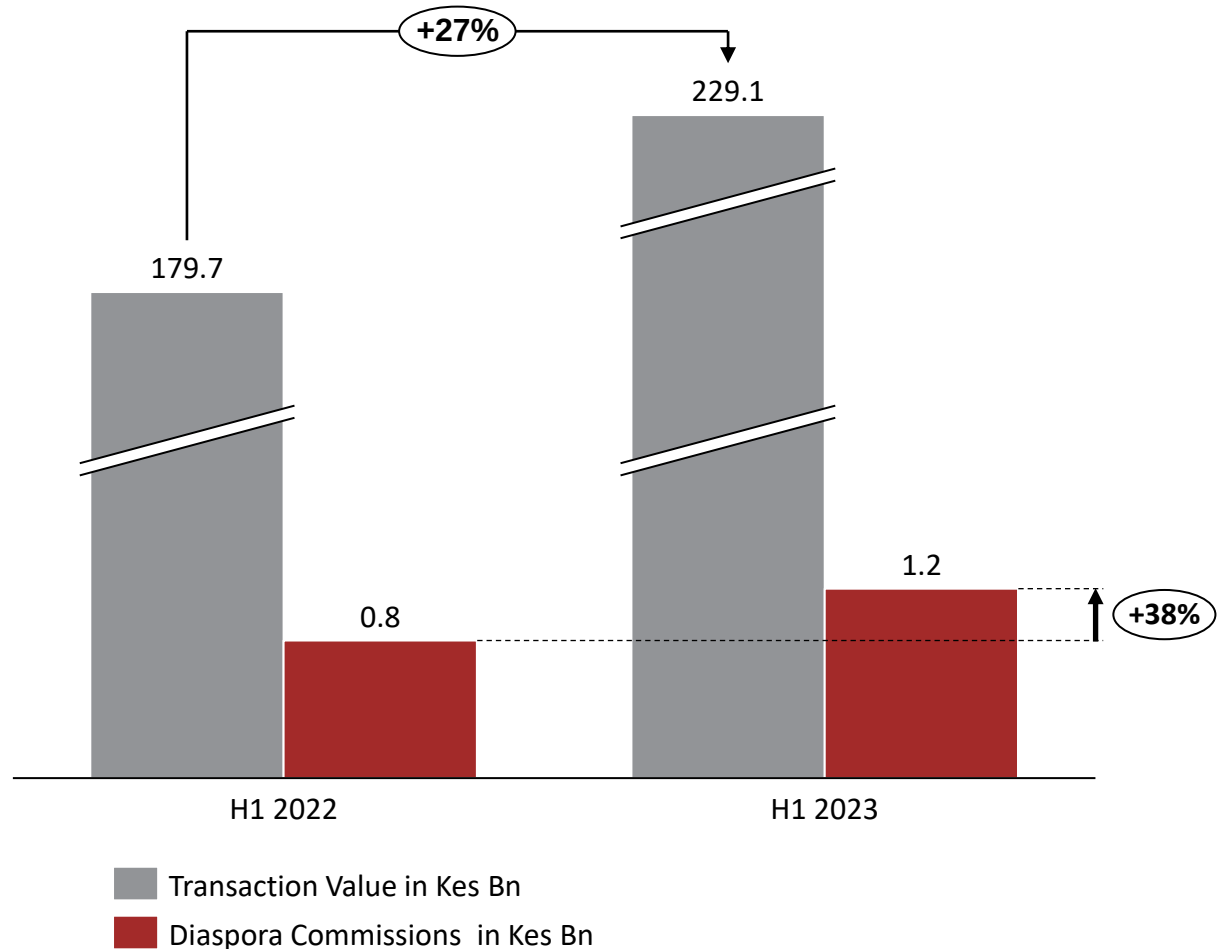


- Card & Cash transactions
- Over the Counter transactions
- Cashless transactions

Focus Area 5: Business Transformation – Fintech Capabilities: Compressing Time and Geography Remittances Processing



Kes Billion



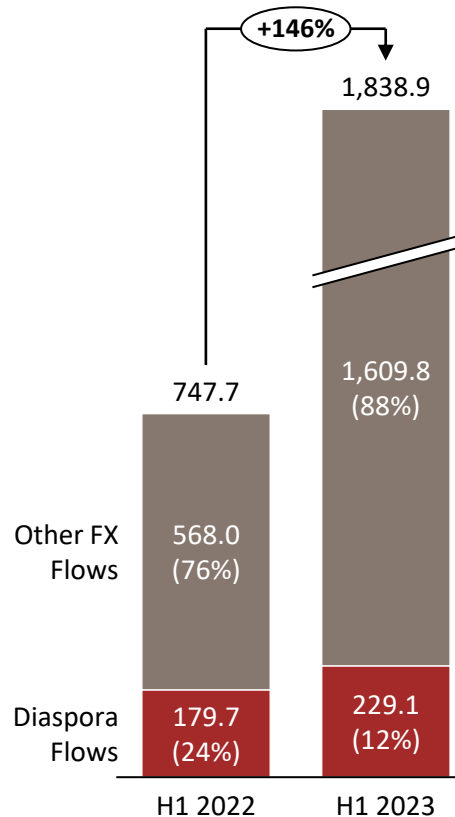
Focus Area 5: Business Transformation - Fintech Capabilities: Global Presence

FX Trading – Enabling Global Trade



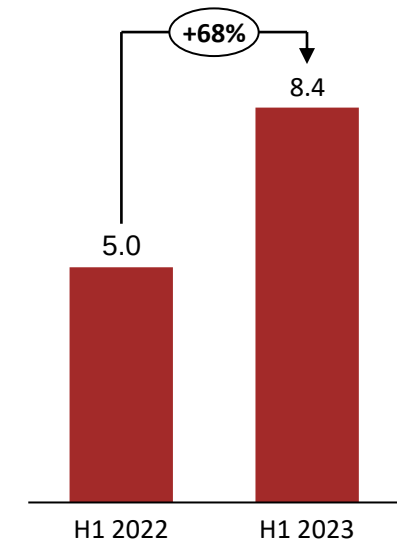
Kes Billion

- The diaspora flows account for 12% of all client Fx volumes



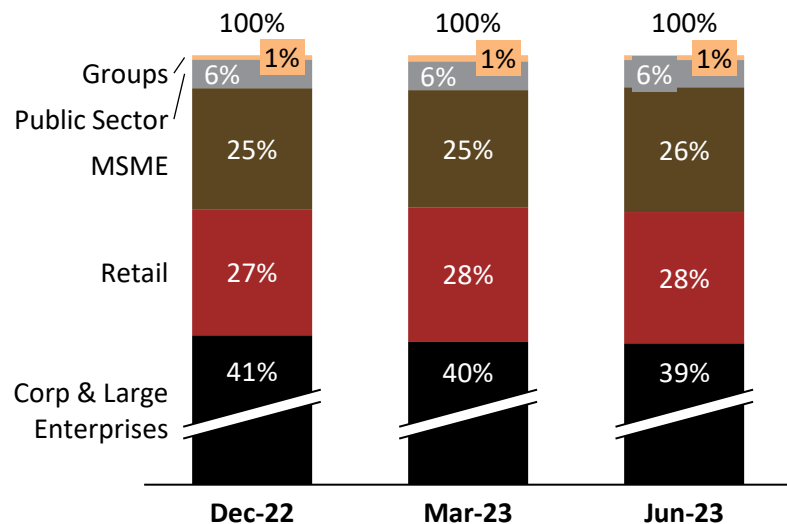
Kes Billion

Fx Trading Income

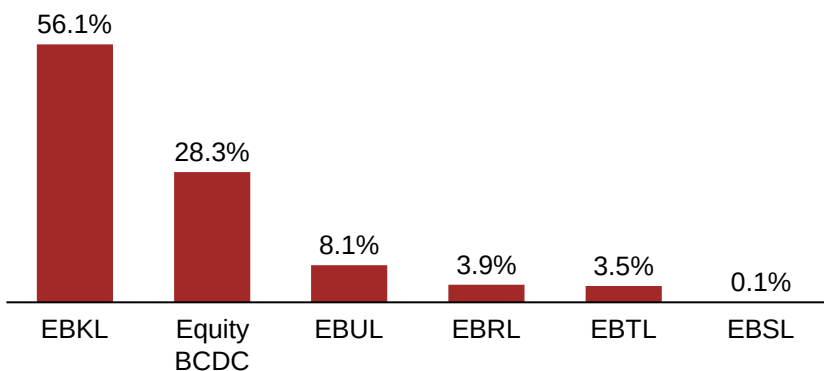


Focus Area 6: Asset Quality, Distribution and Risk Mitigation

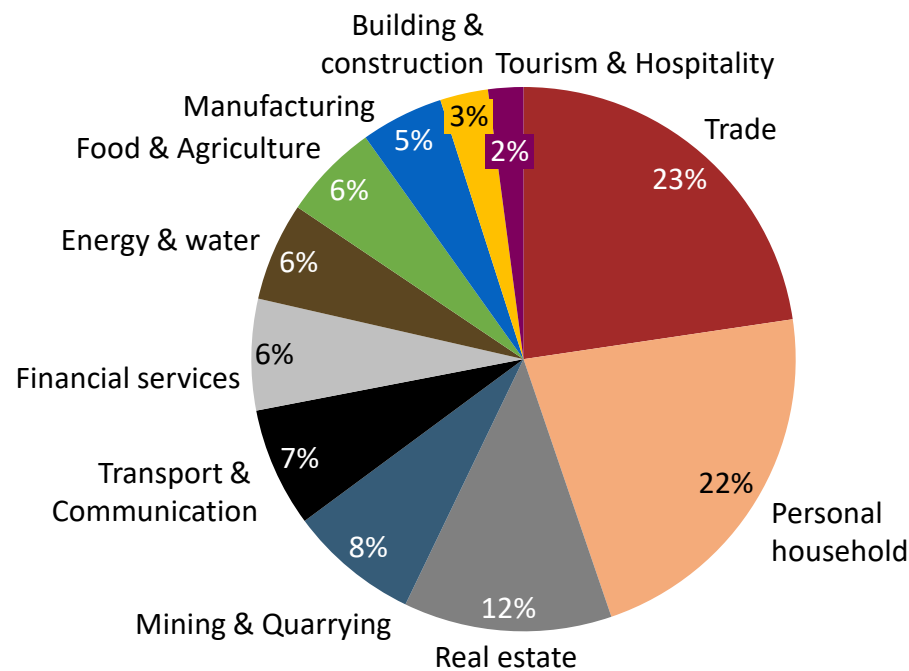
Risk mitigation via diversification of market segments



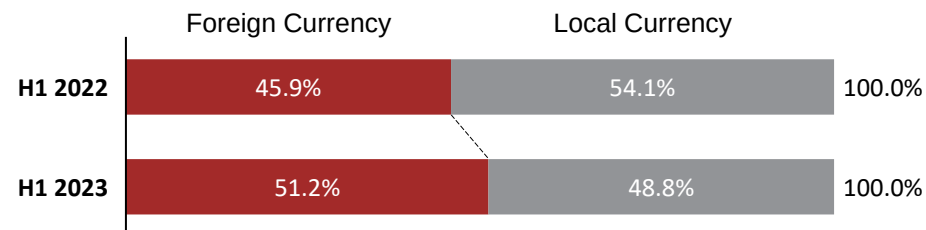
Geographical sovereign risk diversification



Risk mitigation via diversification of economic sectors



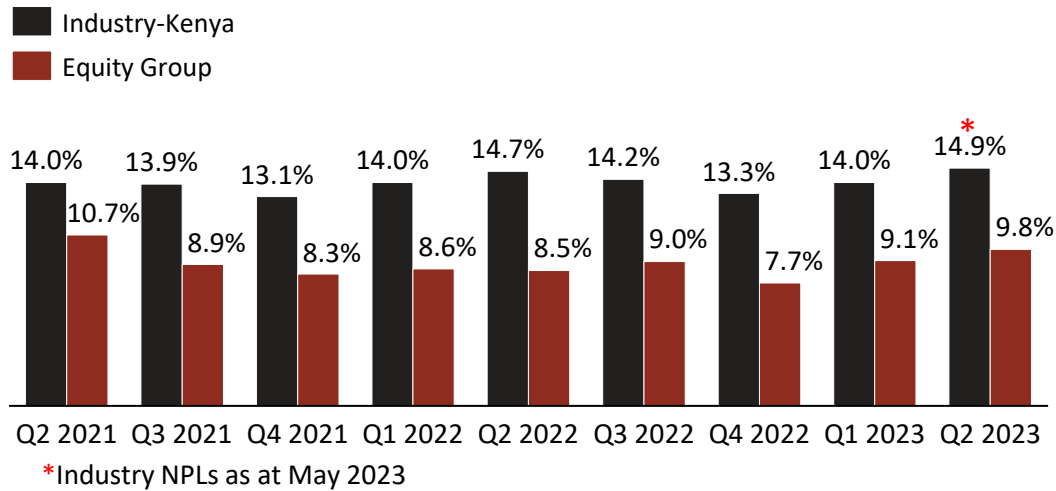
Diversification by currency



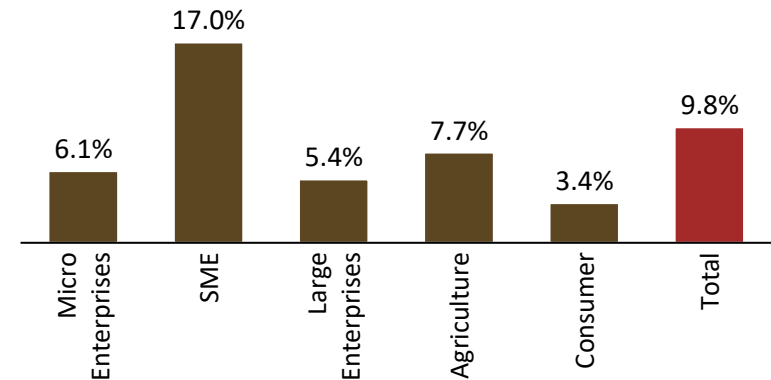
Focus Area 6: Asset Quality, Distribution and Risk Mitigation



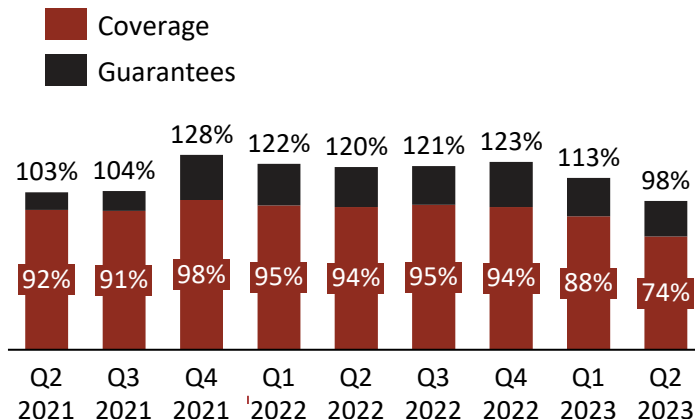
NPL's –Industry vs EGH Plc



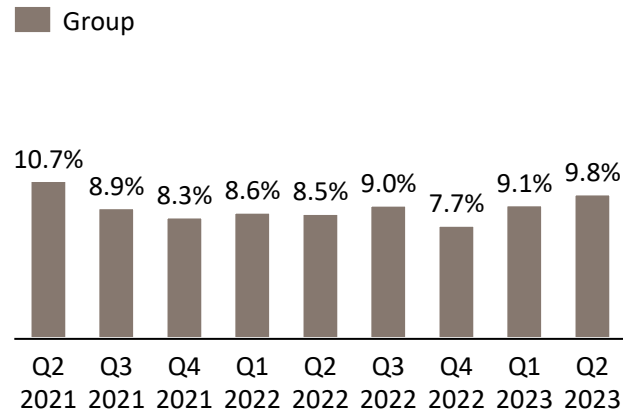
NPL per sector as at H1 2023



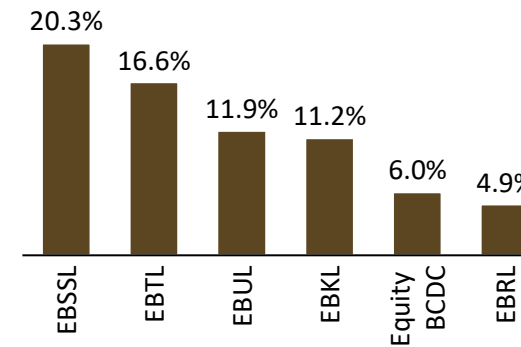
NPL Coverage



NPL Ratios



NPL per Subsidiary as at H1 2023



*NPL Coverage inclusive of credit risk guarantees

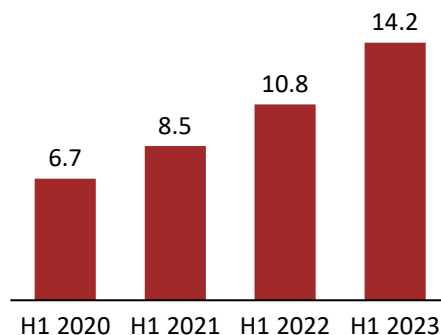
Efficiency and Cost Optimization



Kes Billion

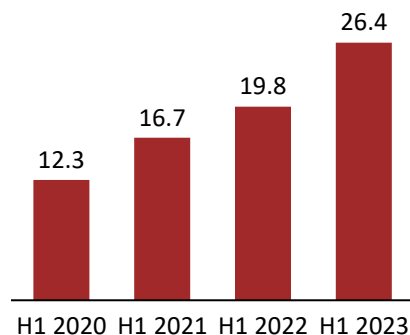
Staff Cost Trend

Group



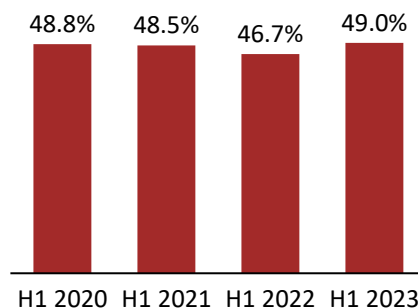
Other Expenses Trend

Group



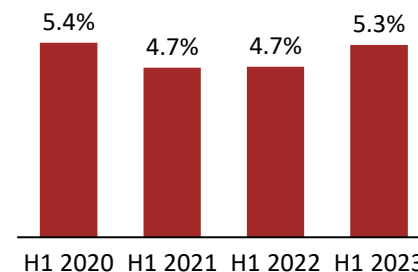
Cost to Income Ratio (Without Loan Loss Provision)

Group



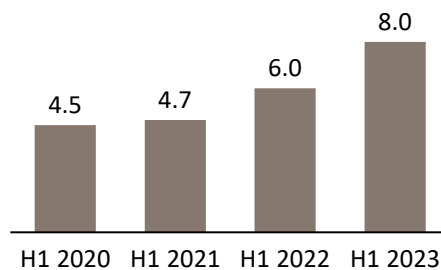
Cost to Assets Ratio (Without Loan Loss Provision)

Group



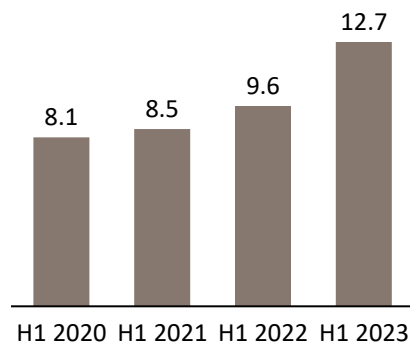
Staff Cost Trend

EBKL



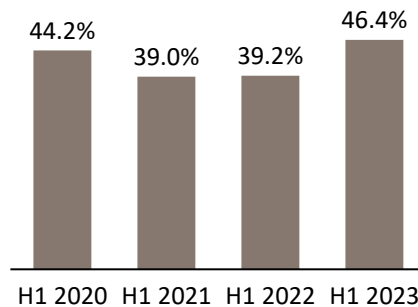
Other Expenses Trend

EBKL



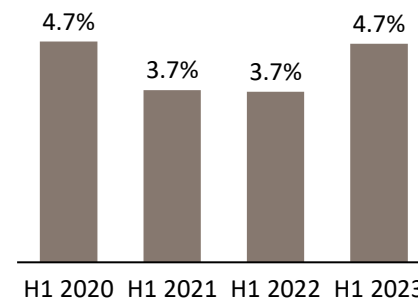
Cost to Income Ratio (Without Loan Loss Provision)

EBKL



Cost to Assets Ratio (Without Loan Loss Provision)

EBKL



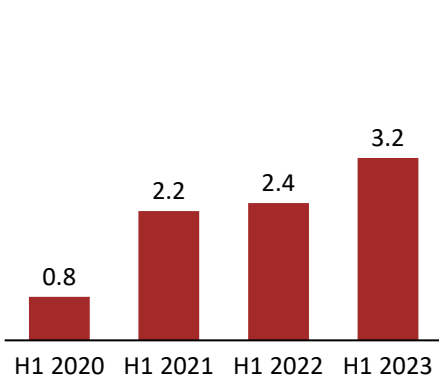
Efficiency and Cost Optimization



Kes Billion

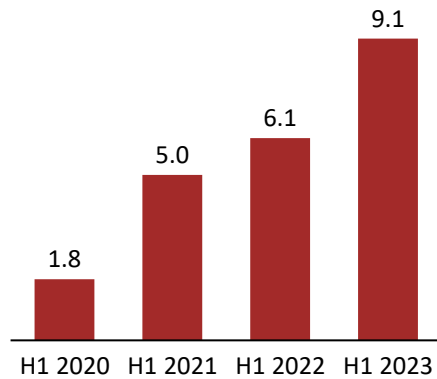
Staff Cost Trend

EquityBCDC



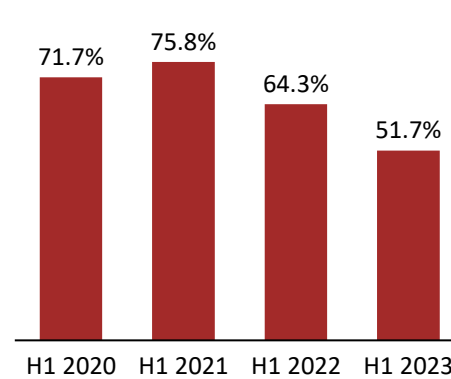
Other Expenses Trend

EquityBCDC



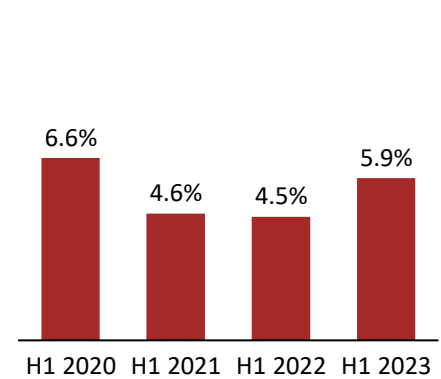
Cost to Income Ratio (Without Loan Loss Provision)

EquityBCDC



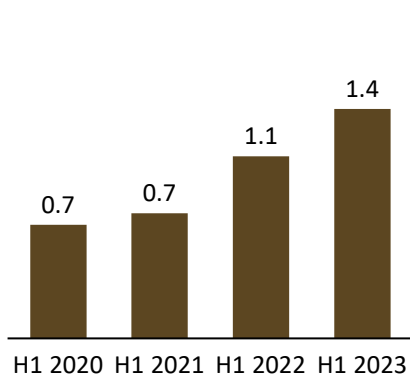
Cost to Assets Ratio (Without Loan Loss Provision)

EquityBCDC



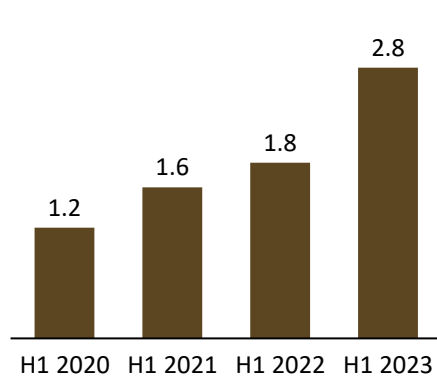
Staff Cost Trend

EBUL



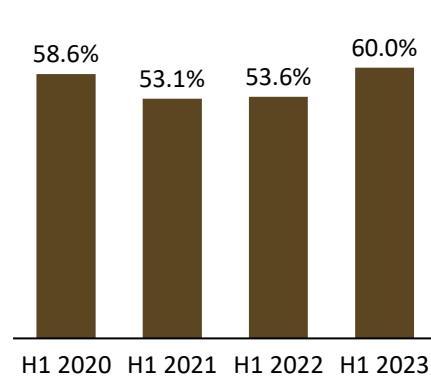
Other Expenses Trend

EBUL



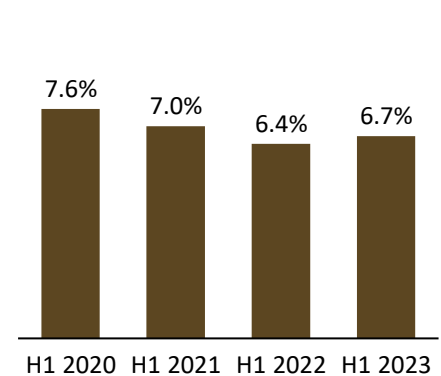
Cost to Income Ratio (Without Loan Loss Provision)

EBUL



Cost to Assets Ratio (Without Loan Loss Provision)

EBUL



Efficiency and Cost Optimization



Kes Billion

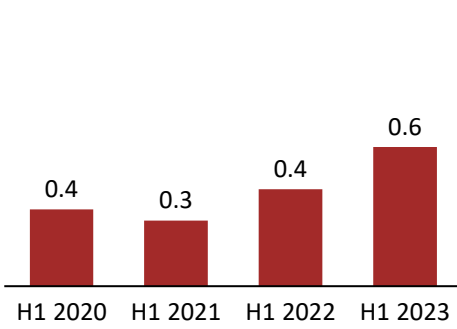
Staff Cost Trend

Other Expenses Trend

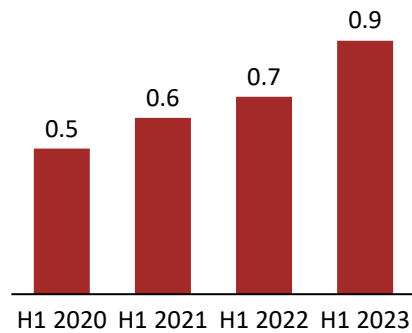
Cost to Income Ratio (Without Loan Loss Provision)

Cost to Assets Ratio (Without Loan Loss Provision)

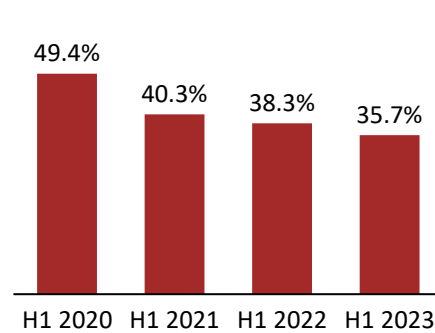
EBRL



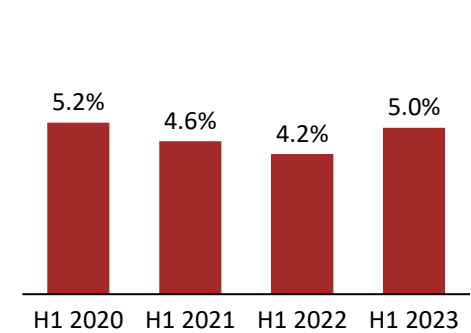
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EBRL



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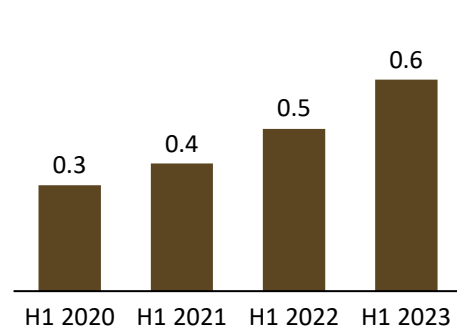
Staff Cost Trend

Other Expenses Trend

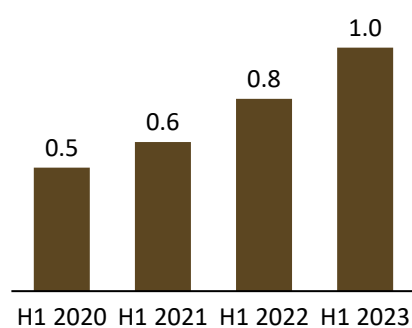
Cost to Income Ratio (Without Loan Loss Provision)

Cost to Assets Ratio (Without Loan Loss Provision)

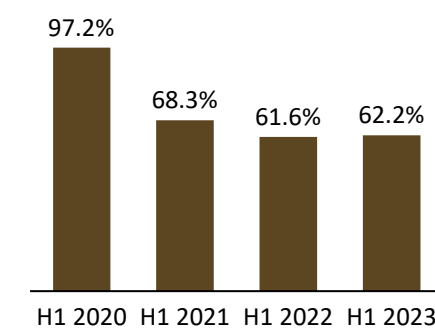
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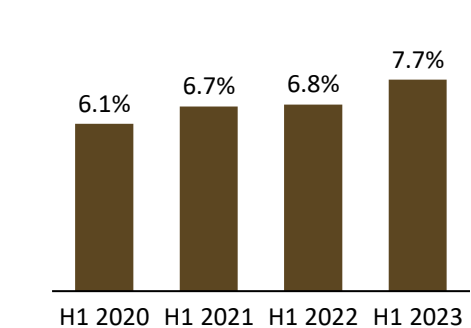
EBTL



EBTL



EBTL

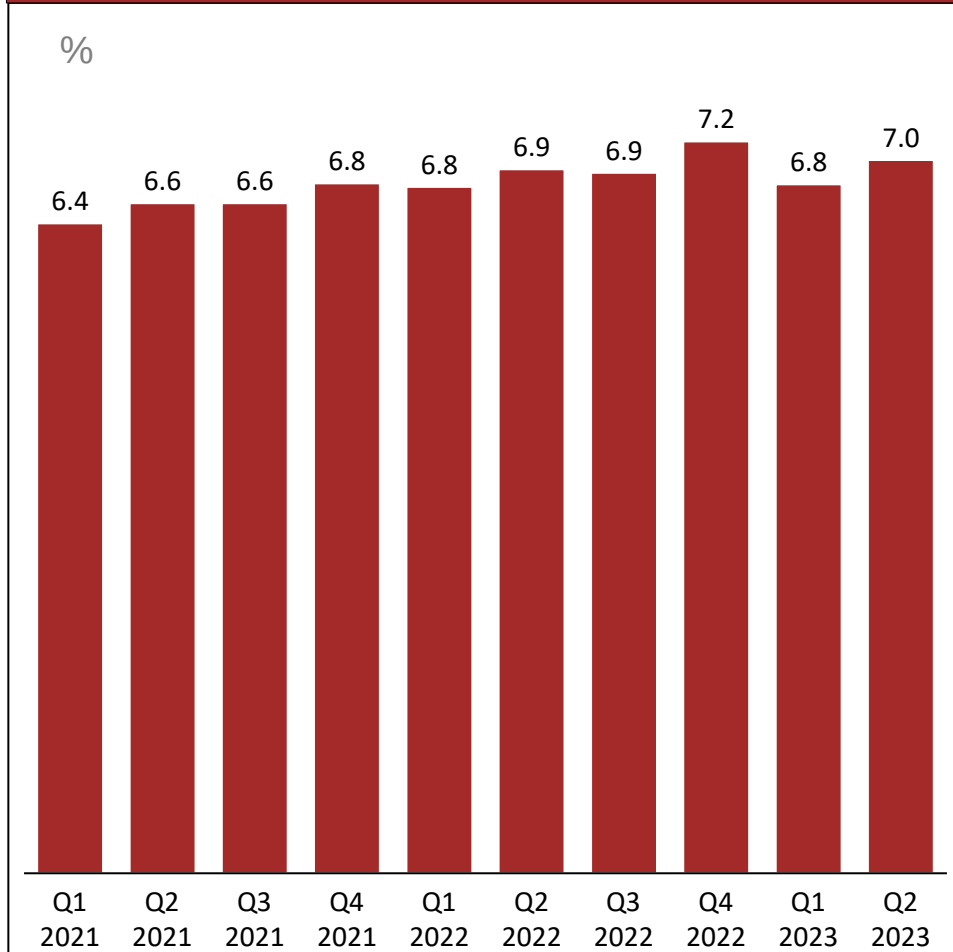


Efficiency and Cost Optimization

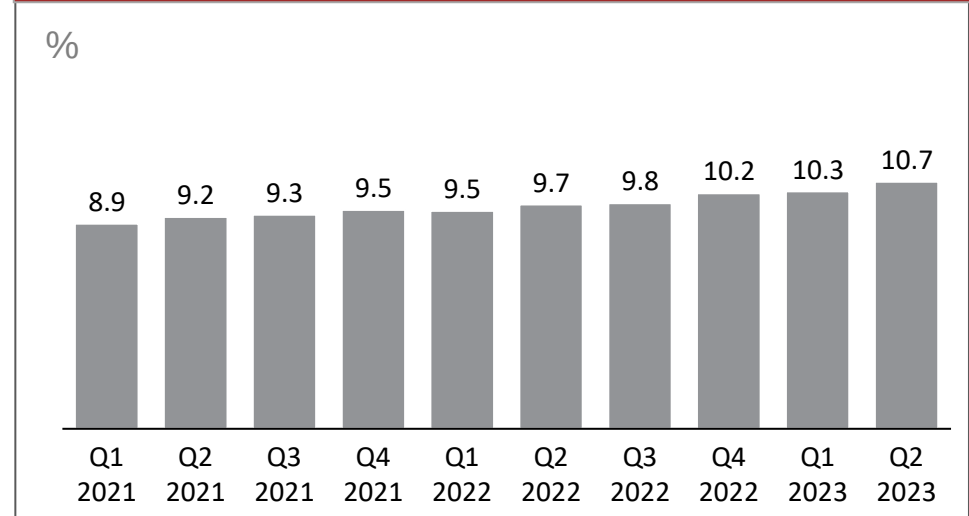


Group

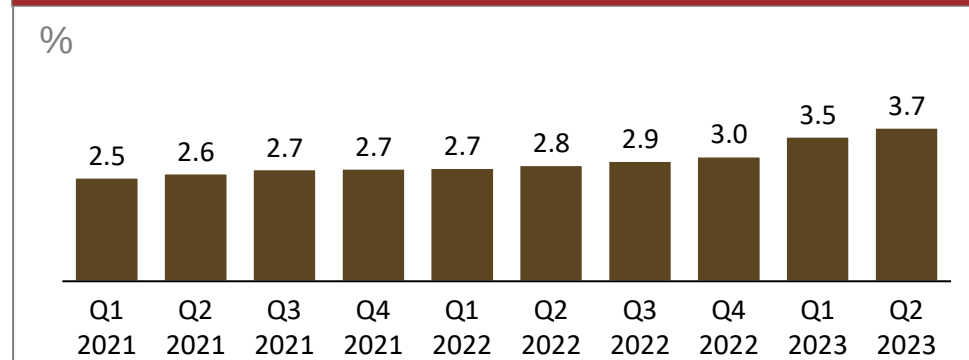
Net Interest Margin



Yield on Interest Earning Assets



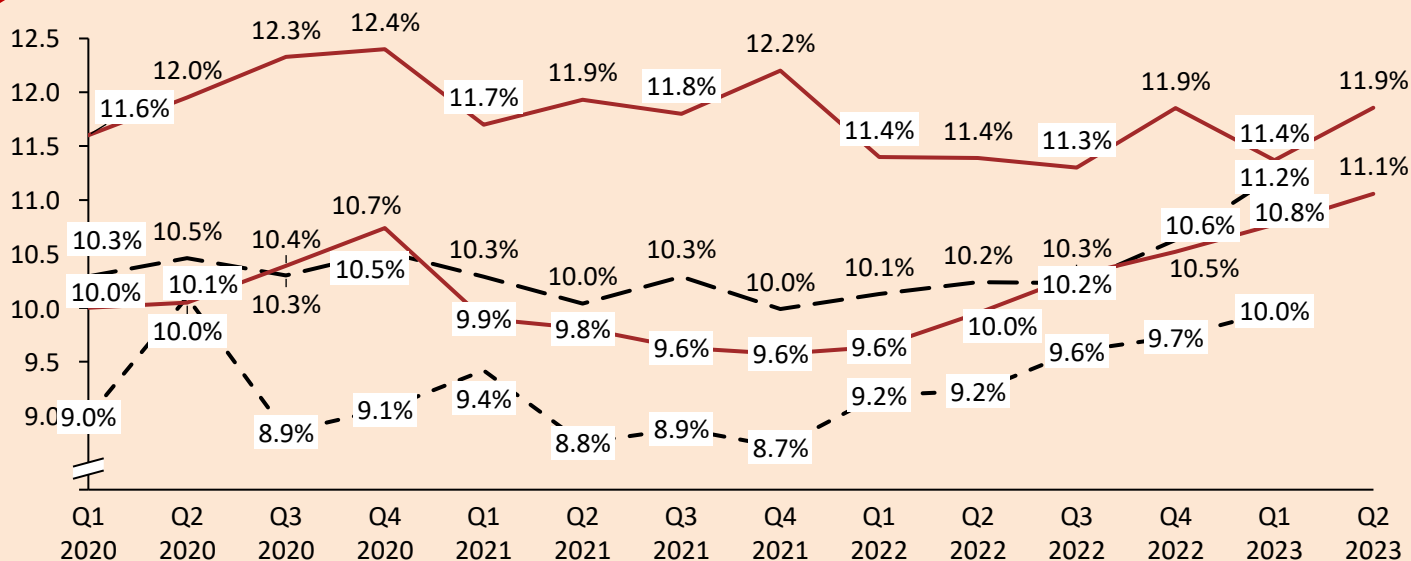
Cost of Funds



Efficient Financial Intermediation

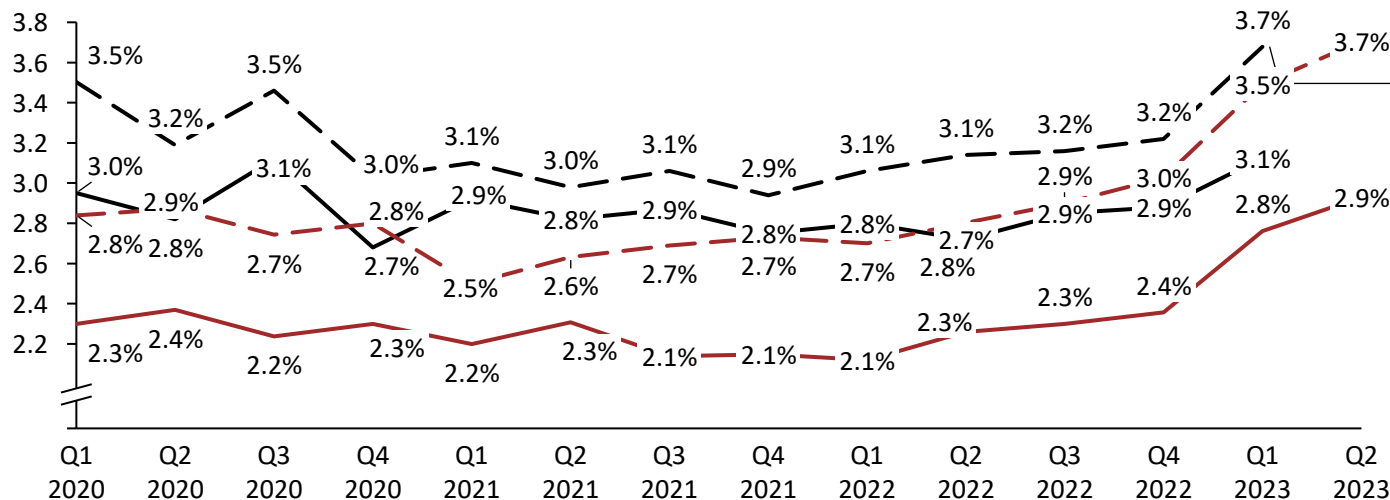


Equity Group's lending yields compared to Kenyan Tier 1 Banks. Lending yields reflecting efficient asset allocation between asset classes



Equity Yield on Loans
Tier 1 Banks Yield on Loans
Equity Yield on Govt Sec
Tier 1 Banks Yield on Govt Sec

Equity Group's ability to attract and retain deposits amidst uncertain environment underpinned by its stable deposit franchise and implied low risk



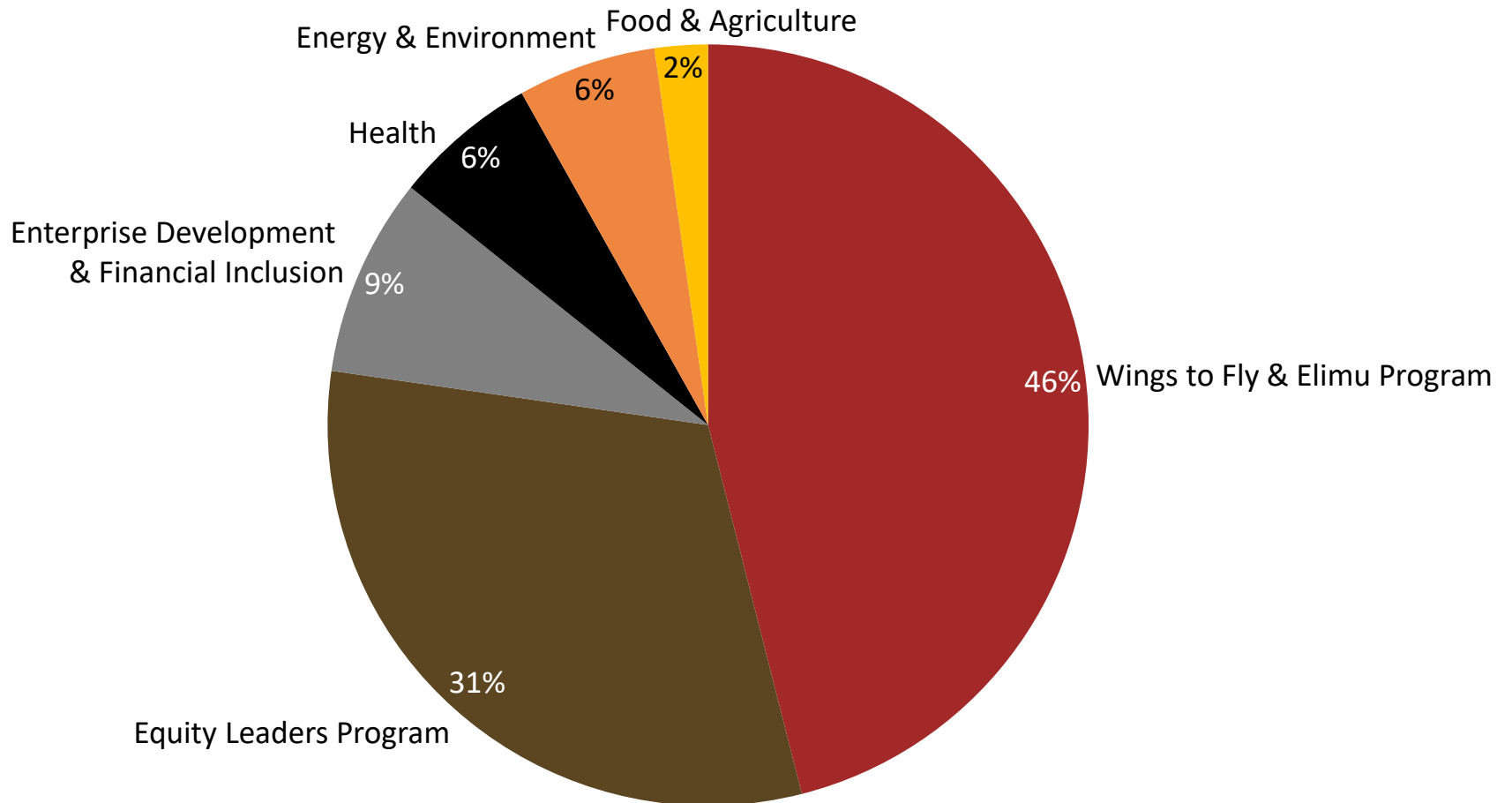
Equity Cost of Funds
Tier 1 Banks Cost of Funds
Tier 1 Banks Cost of Deposits
Equity Cost of Deposits

Focus Area 8: Impact Investment

Impact & Social Investment Programs

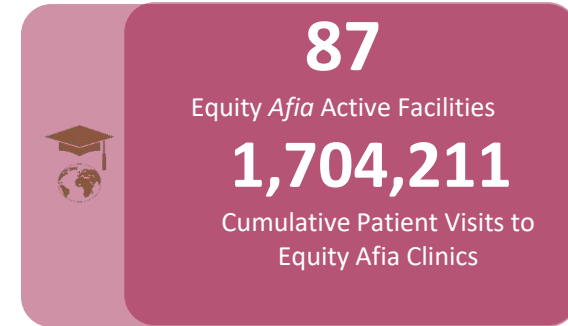
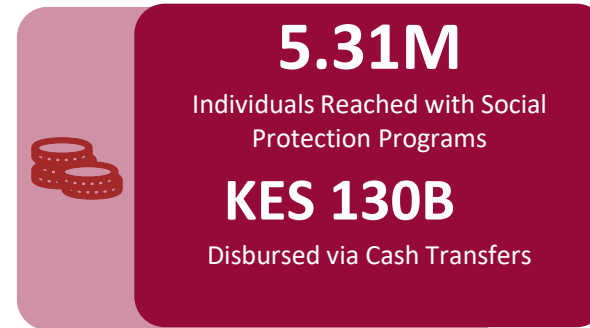
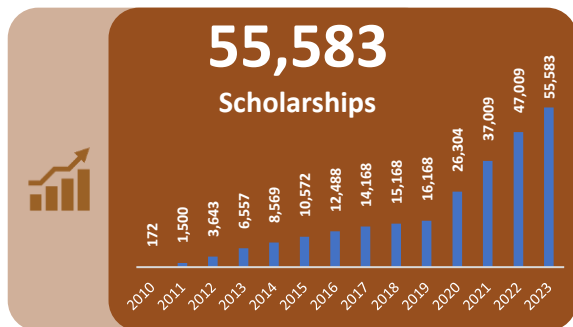


USD 623 M in Social Investment Programs



Focus Area 8: Impact Investment

Shared Prosperity Business Model and its Social Impact





Business Validation

Global Ratings and Accolades



MOODY'S

- Equity Bank Credit Rating
- National Rating: B3
 - Global Rating: Aa3.ke/KE-1
 - Rating Outlook: Negative
- Same as the Sovereign rating

Brand Finance®

- World's strongest banking brands 2023
- Position 4 – in the World
 - Brand Strength Rating (BSR) of AAA+
 - World's TOP 500 most valuable banking brands 2023
 - Position 291 – in the world
 - Position 3 – in Africa

**The Banker
TOP 1000
WORLD BANKS 2021**

- Position 22nd in Africa;
- Position 761 largest bank globally,
- Position 149th in soundness (Capital Assets to Assets ratio),
- Position 71st Profits on Capital
- Position 39th on Return on Assets



- African Business Leadership Awards 2020
- African CEO of the Year - Dr. James Mwangi

GCR GLOBAL CREDIT RATING CO.
2023
Local Expertise • Global Presence

- Equity Bank Credit Rating
- Long Term Rating: AA-
 - Short Term Rating: A1+
 - Rating Outlook: Stable

**REPUTATION POLL
INTERNATIONAL
2021 50
MOST REPUTABLE
BANK CEOs
IN AFRICA**

- Dr. James Mwangi recognized among 50 Most Reputable Bank CEOs in Africa



2020 Oslo Business for Peace Award
Dr. James Mwangi.

**TOP 1000
WORLD BANKS 2020**

- Position 7 overall
- Position 5 on soundness
- Position 9 on growth performance
- Position 8 on return on risk
- Position 6 on leverage category
- Position 6 on profitability



- 2022 Best Financier for Women Entrepreneurs - Platinum
- 2022 SME Financier of the Year- Africa - Silver
- 2022 Product Innovation of the Year - Honorable Mention

Global Ratings and Accolades



- Africa best bank for SMEs 2021
- Excellence in Leadership in Africa 2020



- Socially Responsible Bank in Africa, 2020
- Best Regional Bank - East Africa - Equity Bank 2021
- African Bank of the Year, 2018
- African Banker of the Year, 2018 (Dr. James Mwangi)
- Best Retail Bank in Africa, 2017



Dr. James Mwangi, named to the 3rd Annual 2019 Bloomberg 50 list



- Bank of the Year- Kenya 2019
- Bank of the Year - Uganda 2019 & 2021
- Bank of the Year - Rwanda 2020 & 2021
- Bank of the Year - DRC 2020
- Bank of the Year- South Sudan 2019, 2020 & 2021



- Visa Top Acquiring Award 2021
- Visa E-Commerce (Acquiring) Award 2021



Finserve named Best in Banking/ Financial and Insurance Services



- Best Overall Winner – 1st Runners Up
- Most Innovative Bank – Winner
- Best in Sustainable Finance – 2nd Runners Up



- Mary Wamae - Winner Women on Board Awards 2021
- Equity Group Foundation - 2nd runners up Women on Board Awards Organization of the year

2023 National Banking Awards and Accolades



2023 Think Business Awards Overview

Brand	1. Best Overall Bank - 12 years running 2. Best Bank in Tier 1- 9 years running 3. Most Customer-Centric Bank 4. Best Bank in Sustainable CSR – 1st Runners Up 5. Best Bank in ESG Factors
Franchise Segment	6. Best Bank in Retail Banking 7. Best Bank in Mobile Banking 8. Best Bank in SME Banking 9. Best Bank in Agency Banking 10. Best Commercial Bank in Microfinance 11. Best Bank in Corporate Banking – 1st Runners Up
Product	12. Best Bank in Trade Finance 13. Best Bank in Agriculture and Livestock Financing 14. Special Judges Award for Product Innovation (Clean Energy Access at Institutional and Household Level) 15. Best Bank in Mortgage Finance – 2nd Runners Up 16. Best Bank in Internet Banking 17. Best Bank in Asset Finance – 1st Runners Up 18. Best Bank in Product Marketing 19. Best Bank in Product Innovation – 1st Runners Up

**Banking
500
2023**

Brand Finance®

The Most Valuable and Strongest Banking Brands



Equity Group, East and Central Africa's largest financial services Group, has been named the 4th strongest banking brand in the world. This is the Group's second consecutive appearance in the Brand Finance Banking 500 rankings, with an impressive Brand Strength Index (BSI) score of 92.4 out of 100 and an elite AAA+ brand strength rating

World's strongest banking brands 2023

- Position 4 - in the World
- Brand Strength Rating (BSR) of AAA+

World's top 500 most valuable banking brands 2023

- Position 291 – in the world
- Position 3 – in Africa



Equity Group's MD and CEO, Dr. James Mwangi, was honoured in the 2019 Bloomberg 50 list. This is an honorary list of fifty innovators, entrepreneurs, and leaders who have impacted the global business landscape in measurable ways. Dr. Mwangi was lauded for his contribution in steering Equity Bank to have presence in the greater Central and Southern Africa region. He was honored alongside environmental activist Greta Thunberg, New Zealand Prime Minister Jacinda Ardern, CNN President and Warner Media Chairman Jeff Zucker, Singer and entrepreneur Rihanna, among others.

Dr. James Mwangi honouree, 2020 Oslo Business for Peace Award

Honourees are chosen by a prestigious Award committee consisting of past Nobel Prize winners in Peace Economics.

"Dr. James Mwangi receives the Award for his businessworthy values in championing financial inclusion for all in East and Central Africa. Dr. Mwangi helped achieve a social revolution by bringing banking services to people who previously had limited access to them bolstering Kenya's GDP. Dr. Mwangi is an exceptional entrepreneur and humanitarian. The committee sees him as a shining example of how business leaders can accelerate change and help solve the world's problems," said Per Saxegaard, Founder of the Oslo Business for Peace Awards.



Global Ratings and Accolades



Equity Group Managing Director and Chief Executive Officer, Dr. James Mwangi was recognized and awarded the prestigious Lifetime Achievement Award at the All-Africa Business Leaders Awards held at Sun City, South Africa by the Africa Business News, the owners of CNBC Africa and Forbes Africa.

The All-Africa Lifetime Achievement Award is awarded to individuals who have made a remarkable impact on their industry, country and the continent over a period of a lifetime.

The award was presented to Dr. Mwangi by the Deputy President of South Africa, His Excellency Paul Mashatile and Dr. Rakesh Wahi, Co-Founder and Chairman of Africa Business News Group.

Dr. Mwangi's remarkable leadership has propelled Equity Group to become the largest bank in East and Central Africa, positively impacting communities and driving economic progress. (Photo Courtesy of MaruAnele Fotografik)



The 2023 Kenya – DRC Investors' Roadshow

Kenya Segment



Equity Group hosted investors who participated in the Kenya and DRC Investors' Roadshow aimed at unlocking business networks and fostering trade and investment opportunities in Kenya, the Democratic Republic of Congo (DRC) and the East African region. The roadshow kickstarted in Nairobi and ran through a series of meetings and site visits in Kinshasa and Lubumbashi in the DRC showcasing the immense potential for economic growth and development.



US Ambassador to Kenya, Meg Whitman (right) and Equity Group Managing Director and Chief Executive Officer, Dr. James Mwangi (left) engage in a fireside chat during the opening cocktail of the 2023 Kenya – DRC Investors' Roadshow.



Cabinet Secretary for Treasury, Prof. Njuguna Ndungu and Equity Group Managing Director and CEO Dr. James Mwangi engage in a fireside chat during the Kenya segment of the 2023 Kenya – DRC Investors' Roadshow.

The 2023 Kenya – DRC Investors' Roadshow

Kenya Segment continued



The Central Bank of Kenya Governor, Dr Kamau Thugge (left), Karen Kandie, Director of Parastatals Reforms at the National Treasury and Planning (centre) and Equity Group Managing Director and CEO Dr. James Mwangi (right) during the official opening of the 2023 Kenya – DRC Investors' Roadshow in Nairobi.



Guests follow proceedings during the official opening of the 2023 Kenya – DRC Investors' Roadshow in Nairobi.

The 2023 Kenya – DRC Investors' Roadshow

DRC Segment



Delegates arrive in Kinshasa and Lubumbashi for the DRC Segment of the 2023 Kenya – DRC Investors' Roadshow.

The 2023 Kenya – DRC Investors' Roadshow

DRC Segment continued



Kenya's Ambassador to DRC, Amb. George Masafu gives remarks at the luncheon hosted by EquityBCDC during the Kenya and DRC Investors Roadshow in Kinshasa, DRC.



Equity Group Chairman Prof. Isaac Macharia (left) and Deputy Governor of Katanga Jean-Claude Kamfwa, during the Lubumbashi segment of the Kenya – DRC Investors Roadshow.



Deputy Governor of Katanga Jean-Claude Kamfwa, addressing delegates during the Lubumbashi segment of the Kenya – DRC Investors Roadshow.



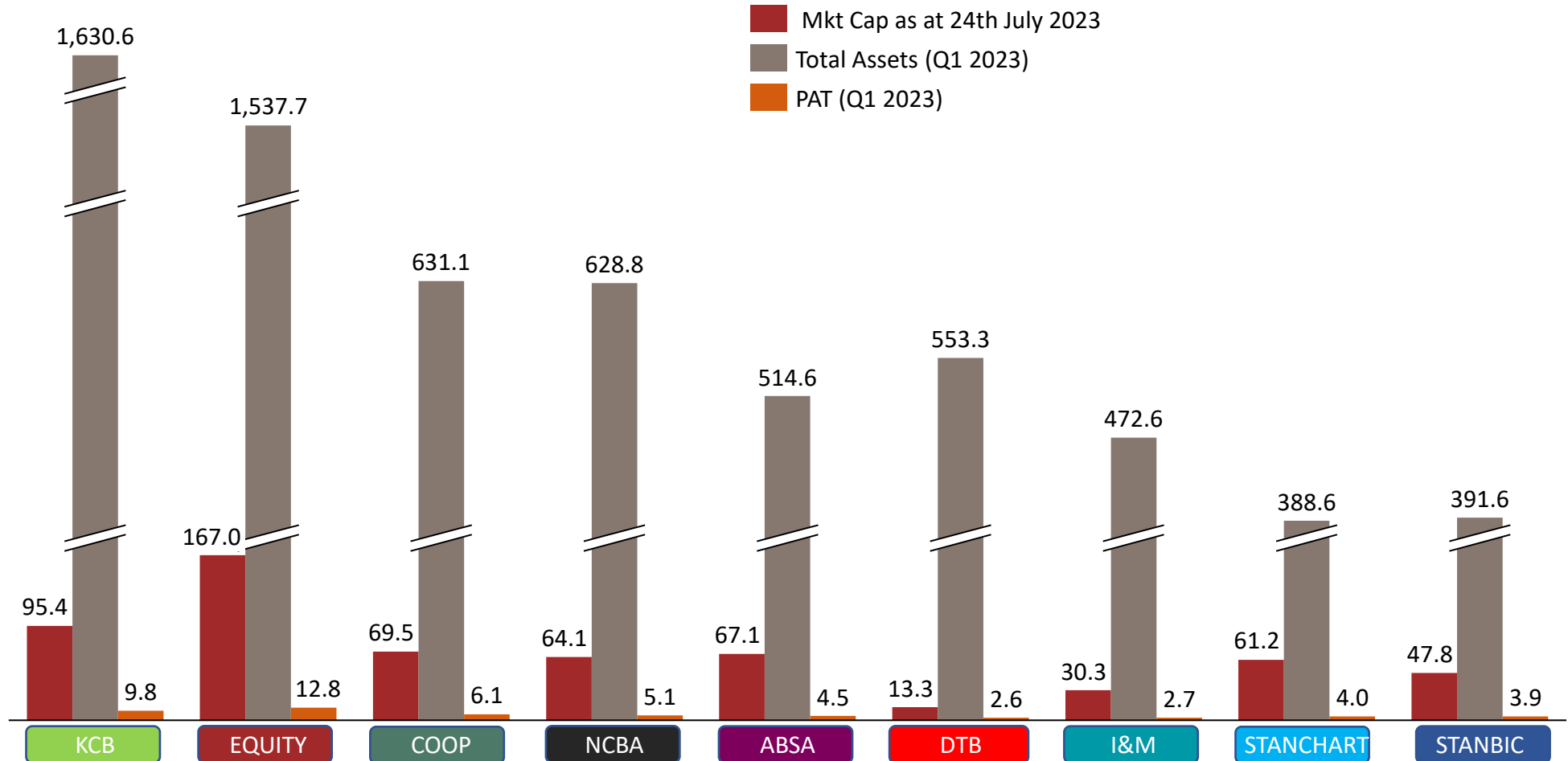
From left to right: The Managing Director of Kibali Goldmine Cyrille Mutombo, The Director of the Cabinet of the Minister in charge of Industry Jean-Dieudonné Kavese, the President of Glencore DRC Marie Chantal Kanyinda and Equity Group Managing Director and CEO Dr. James Mwangi engage in a panel discussion under the theme of Unlocking Trade and Investment Opportunities in Kenya and DRC.

Market Validation



KES Billion

Market Capitalization as at 24th July 2022



Balance Sheet



<i>KES Billion</i>	H1 2022	H1 2023	Growth
Assets			
Cash & Cash Equivalents	214.4	219.8	3%
Government Securities	365.0	485.6	33%
Net Loans	650.6	817.2	26%
Other Assets	103.9	122.2	18%
Total Assets	1,333.9	1,644.8	23%
Liabilities & Capital			
Deposits	970.9	1,175.8	21%
Borrowed Funds	162.6	188.4	16%
Other Liabilities	50.0	86.3	73%
Shareholders' Funds	150.4	194.3	29%
Total Liabilities & Capital	1,333.9	1,644.8	23%

Income Statement



KES Billion

	H1 2022	H1 2023	Growth
Interest Income	55.0	69.8	27%
Interest Expense	15.2	23.4	54%
Net Interest Income	39.8	46.4	17%
Non-Funded Income	25.0	35.7	42%
Total Income	64.8	82.1	26%
Loan Loss Provision	3.3	6.3	89%
Staff Costs	10.8	14.2	32%
Other Operating Expenses	19.8	26.4	33%
Total Costs	33.9	46.9	38%
PBT	30.9	35.2	14%
Tax	6.5	8.9	36%
PAT	24.4	26.3	8%
Earnings per share	6.3	6.7	6%

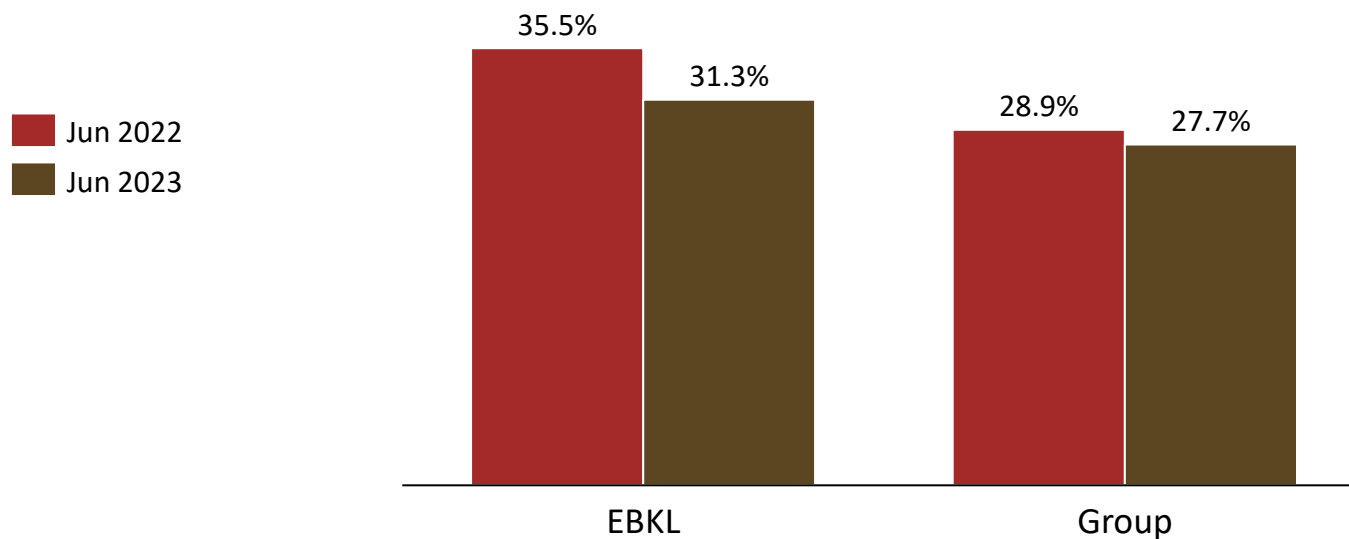
*Loan loss provision has been presented net of recoveries. In the CBK publication Loan Loss Provision is presented as a gross amount. The gross provisions and recoveries are as follows;

KES Bn	H1 2022	H1 2023
Gross loan loss provision	4.1	7.1
Loan recoveries	(0.8)	(0.8)
Net loan loss provision	3.3	6.3

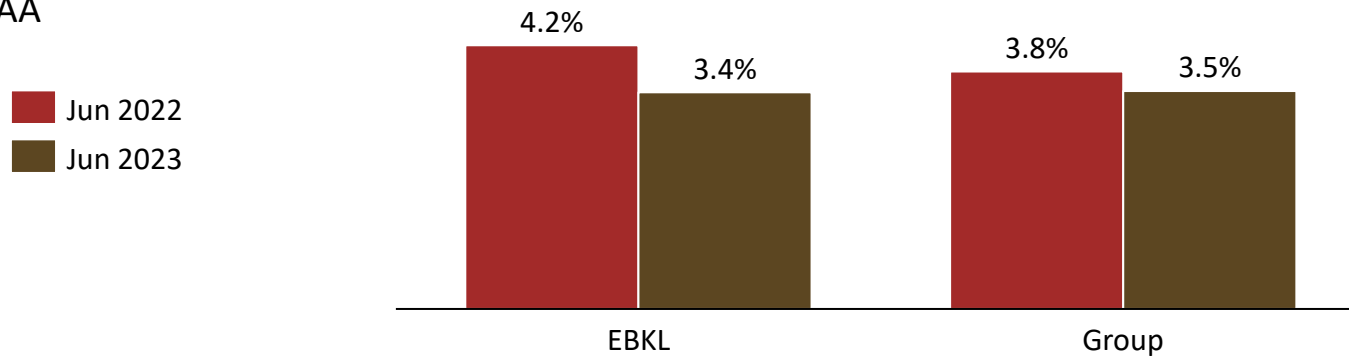
RoAE and RoAA Trend



RoAE



RoAA



Financial Ratios



	EBKL	EBKL	Group	Group
	H1 2022	H1 2023	H1 2022	H1 2023
Profitability				
Yield on Loans	10.8%	11.8%	11.4%	11.9%
Yield on Government Securities	10.0%	11.1%	10.0%	11.1%
Yield on Interest Earning Assets	10.0%	11.3%	9.7%	10.7%
Cost of Deposits	2.5%	3.4%	2.3%	2.9%
Cost of Funds	2.9%	4.3%	2.8%	3.7%
Net Interest Margin	7.1%	7.0%	6.9%	7.0%
Cost to Income Ratio with provisions	44.7%	54.5%	52.9%	57.6%
Cost to Income Ratio without provisions	39.2%	46.4%	46.7%	49.0%
RoAE	35.5%	31.3%	28.9%	27.7%
RoAA	4.2%	3.4%	3.8%	3.5%
Asset Quality				
PAR	8.4%	11.2%	8.5%	9.8%
NPL Coverage	107.9%	75.0%	93.7%	74.3%
Cost of Risk	1.1%	1.6%	1.3%	1.9%
Leverage				
Loan / Deposit Ratio	66.5%	67.0%	67.0%	69.5%
Capital Adequacy Ratios				
Core Capital to Risk Weighted Assets	15.6%	15.2%	15.5%	15.0%
Total Capital to Risk Weighted Assets	20.8%	19.8%	20.2%	19.0%
Liquidity				
Liquidity ratio	64.5%	64.7%	53.2%	51.1%

2023 Guidance Vs Actual - Group



	2023 Guidance	H1 2023 Actual
Loan Growth	25% - 30%	26%
Deposit Growth	20% - 25%	21%
Net Interest Margin	7.5% - 8.5%	7.0%
Non Funded Income Mix	40% - 43%	43.5%
Cost to Income Ratio	40% - 45%	49.0%
Return on Equity	25% - 30%	27.7%
Return on Assets	3.6% - 4.3%	3.5%
Cost of Risk	1.0% - 1.5%	1.9%
NPL	7% - 10%	9.8%
Subsidiaries Contribution (Assets)	45% - 50%	46%
Subsidiaries Contribution (PBT)	30% - 35%	45%

MEMBER

MEMBER

MEMBER

MEMBER

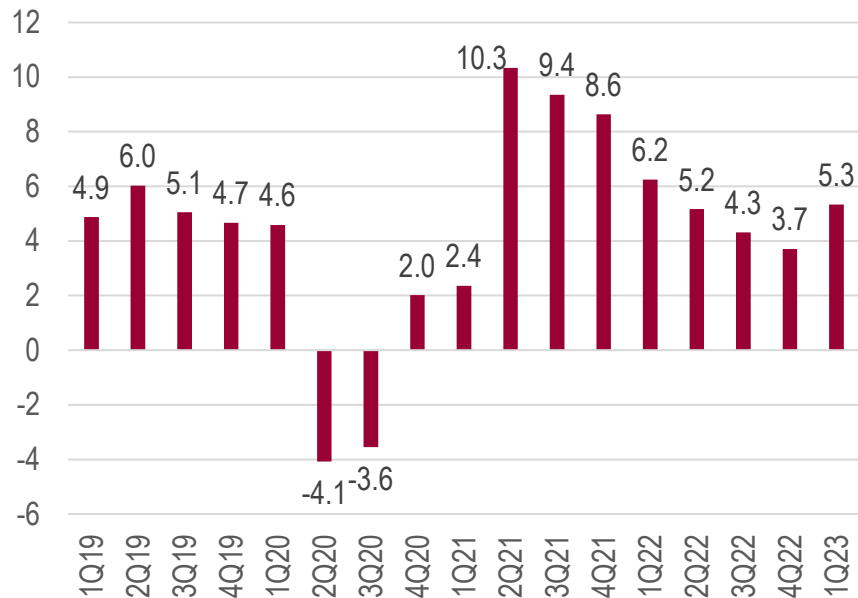
Macroeconomic Environment Indicators & Trends

Kenya: GDP growth vulnerable to tight policy

Higher tax burden and interest rates may subdue growth



Figure 5: Kenya: real GDP growth, % YoY



- **Agriculture recovers.** After contracting for five quarters, the agriculture sector grew by a strong 5.8% YoY in 1Q23 and was the biggest contributor to real GDP growth of 5.3% YoY.
- We forecast growth of 5.0% for 2023, a moderate increase from 4.8% in 2022 that will be driven by agriculture's recovery.

57

Figure 5: Kenya: inflation and policy interest rate

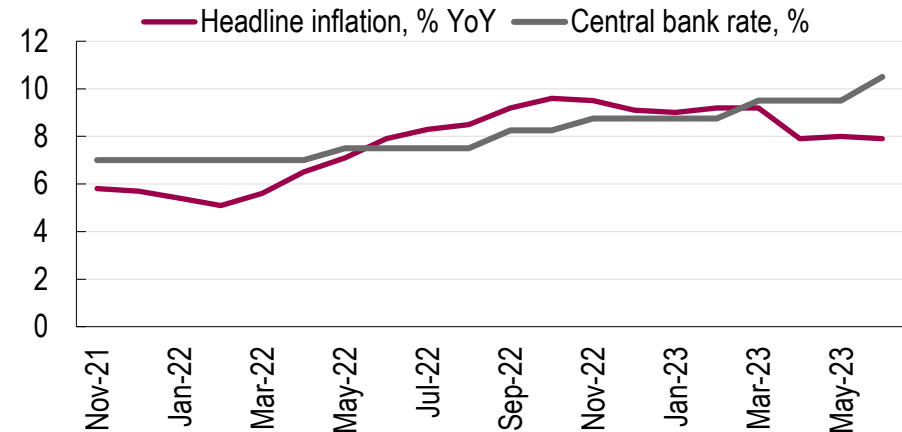
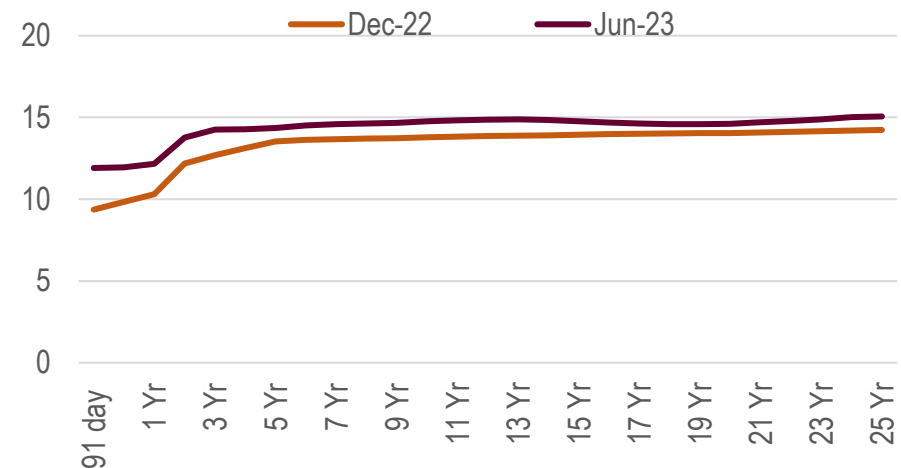


Figure 5: Kenya: yield curve, %



Kenya: vulnerable external position

Slowdown in foreign financial inflows



Figure 9: Kenya: Official foreign reserves

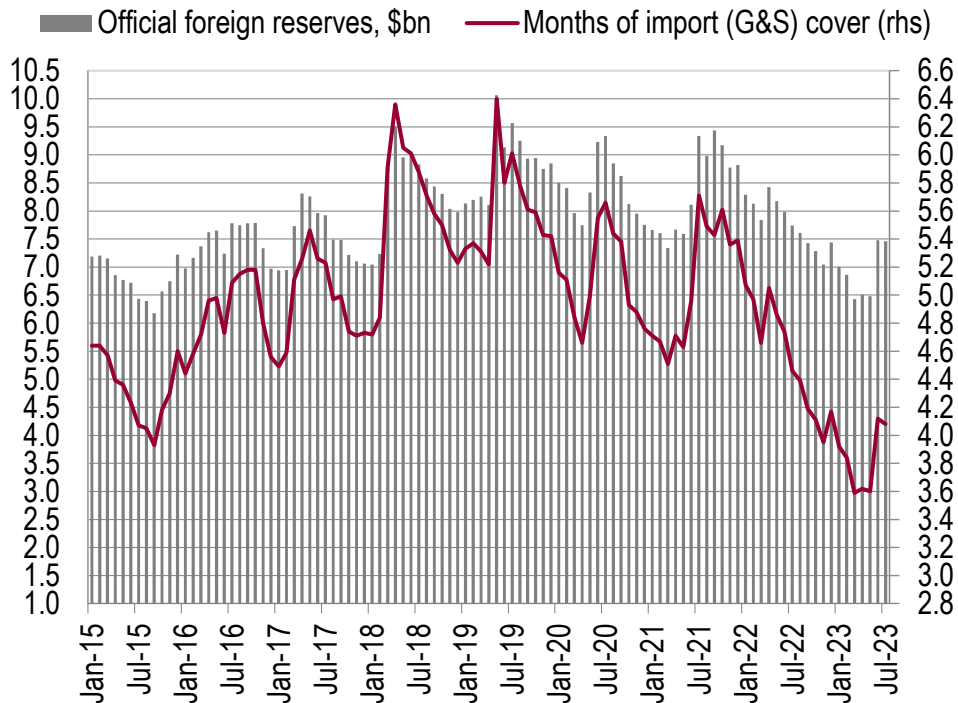
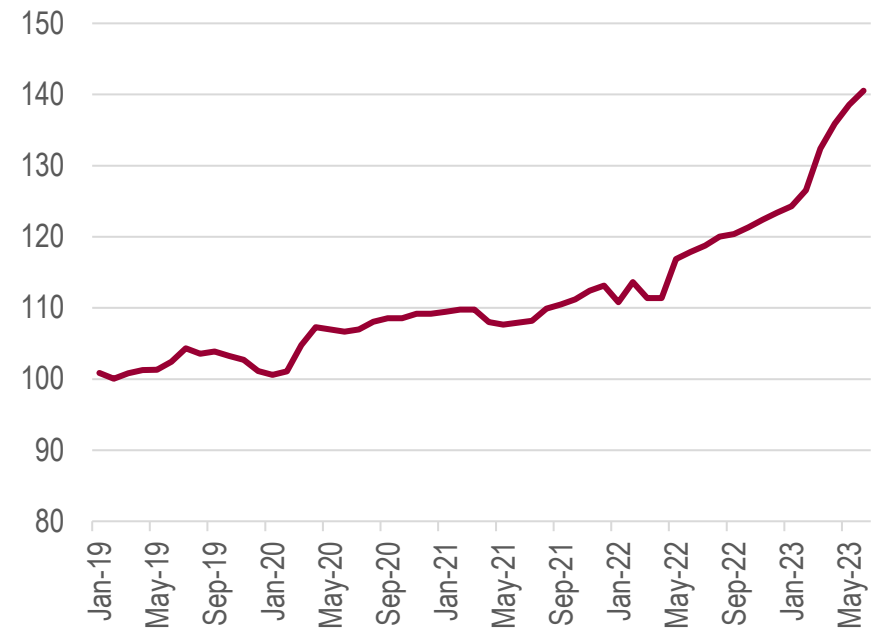


Figure 10: Kenya: exchange rate – KES/\$1



- Foreign exchange reserves dropped below 4 months of import cover in January. However, the inflow of the World Bank loan in June put reserves back over 4 months.
- The narrowing of the current account deficit in 1Q23 was not enough to counter the impact of declining foreign financial inflows.
- The Kenyan shilling has depreciated by 14% against the US dollar, in the year to date, to KES140.6/\$1 on 3 July 2023.

DRC – GDP growth driven by the extractive economy

Growth in the extractive economy is stabilising



Figure 13: DRC – copper production, thousands of metric tons

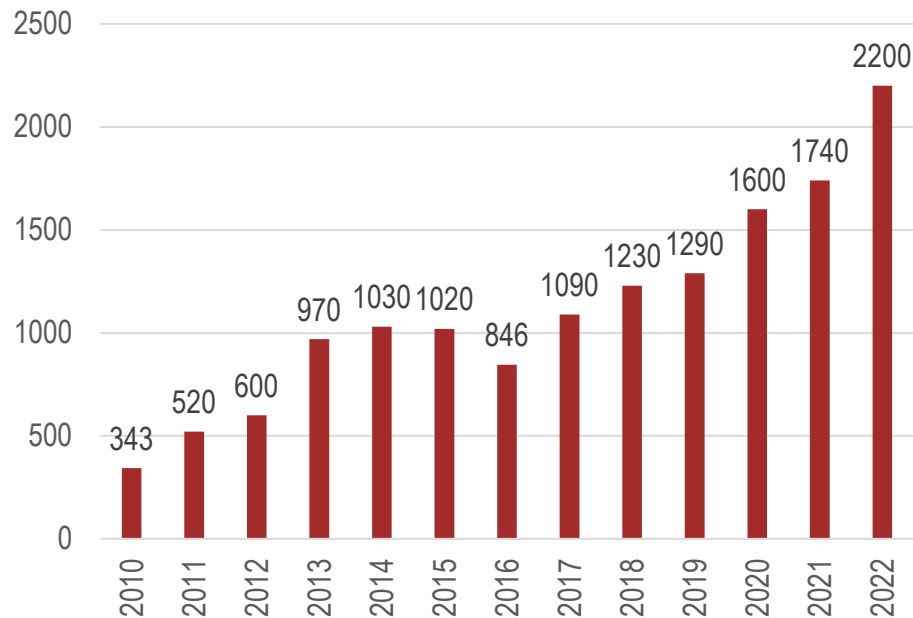
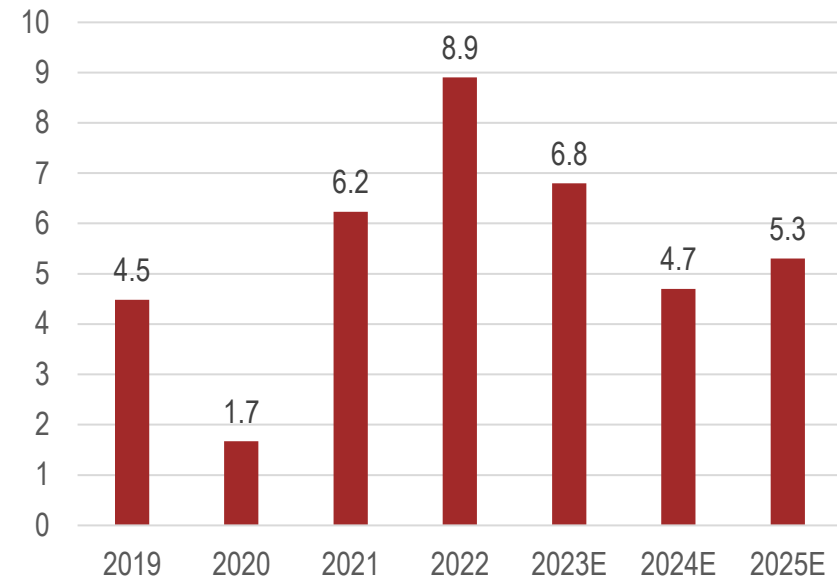


Figure 14: DRC – real GDP growth, %



- The DRC economy grew by a brisk 8.9% in 2022, on the back of the acceleration of the extractive sector's growth to 22.6%.
- An expansion of mines and new smaller mines explains the increase in mining production, according to the IMF. However, the non-extractive economy grew by a relatively modest 3.1%.
- The DRC's growth is expected to moderate to 6.8% in 2023, by the IMF, owing to a slowdown in the extractive industry's growth to around 12%. The non-extractive economy's growth is expected to strengthen to around 4.5% in 2023.

DRC – runaway inflation

Single digit inflation likely to be restored in 2024



Figure 15: DRC – inflation and the benchmark interest rate

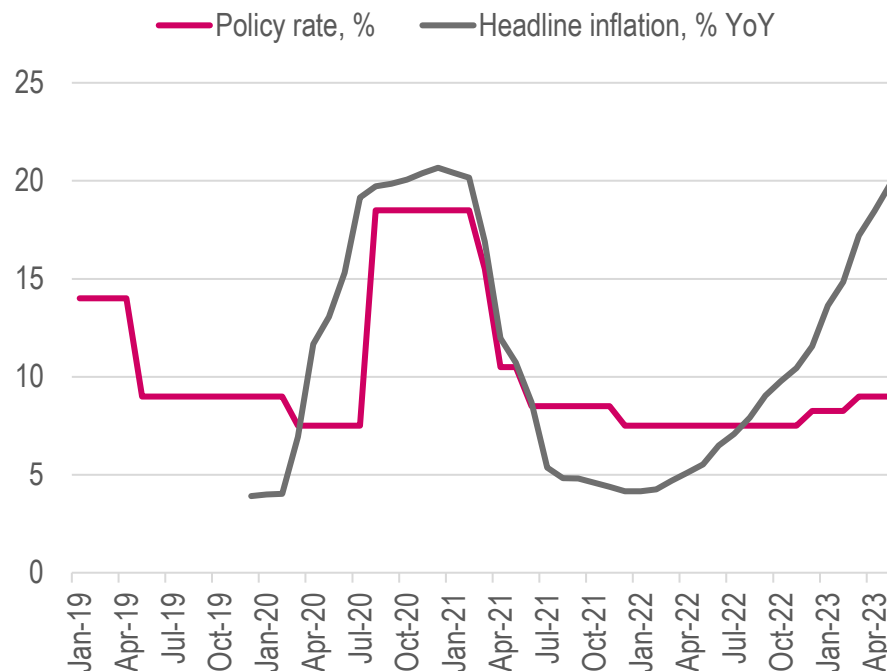
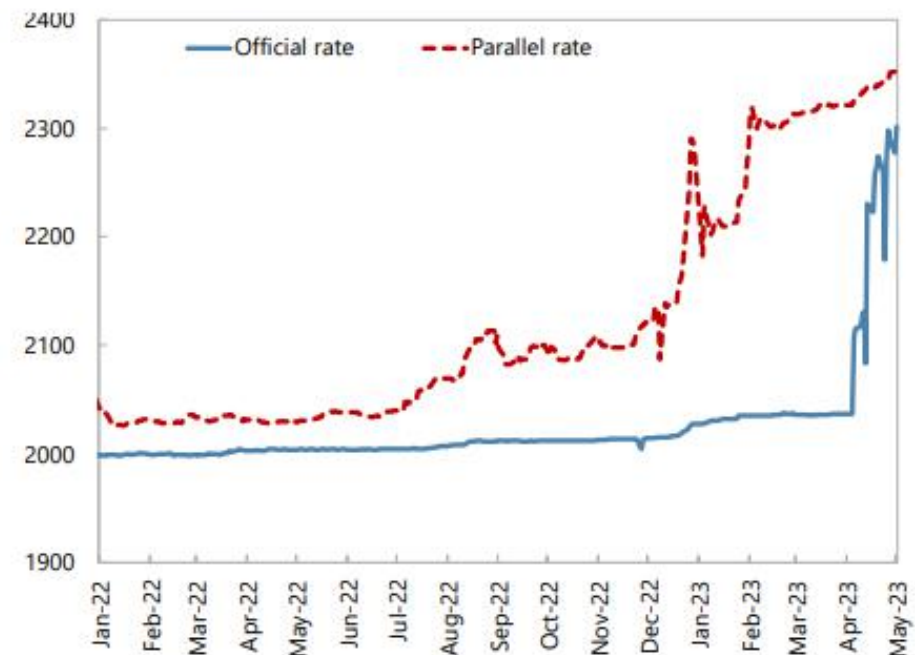


Figure 17: DRC – official and parallel exchange rate, CDF/\$1



- The Congolese franc has depreciated by almost 20% against the US dollar in the year to date, to CDF2,394/\$1 on 3 July 2023, on the official market. Most of this depreciation occurred in May and June, when the central bank seemingly devalued the official exchange rate. Rapid public spending partly contributed to the pressure on the official exchange rate to weaken.

DRC – strong copper price

Smaller current account deficit over medium term is positive for DRC's external position



Figure 18: DRC – current account, % of GDP

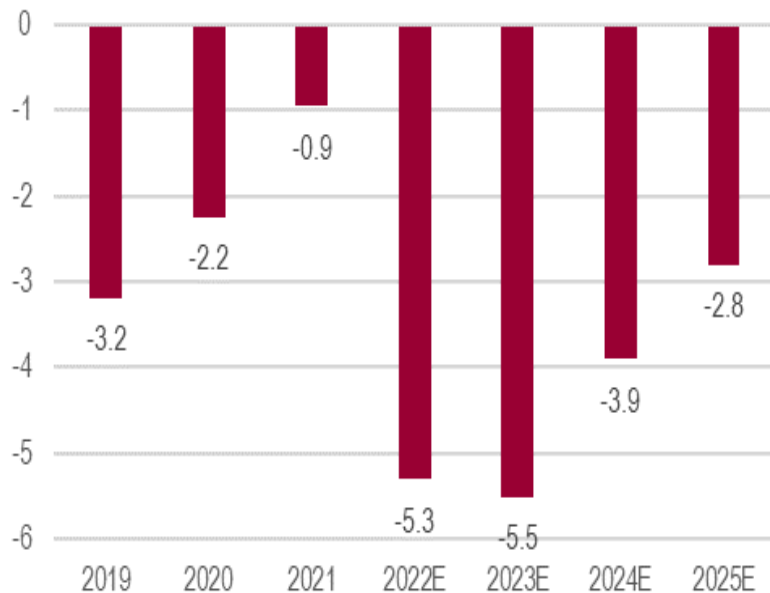
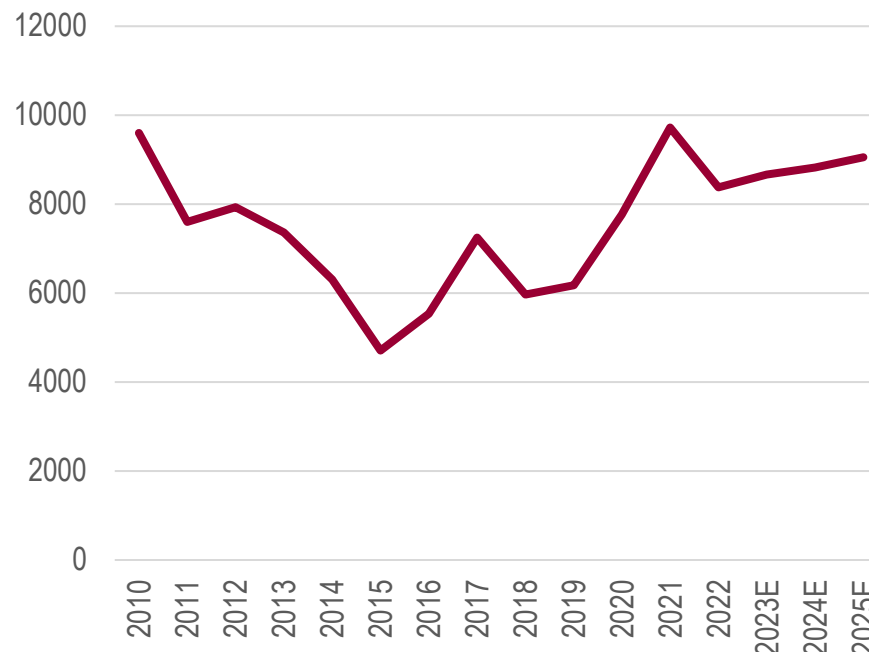


Figure 19: DRC – copper price, \$/mt



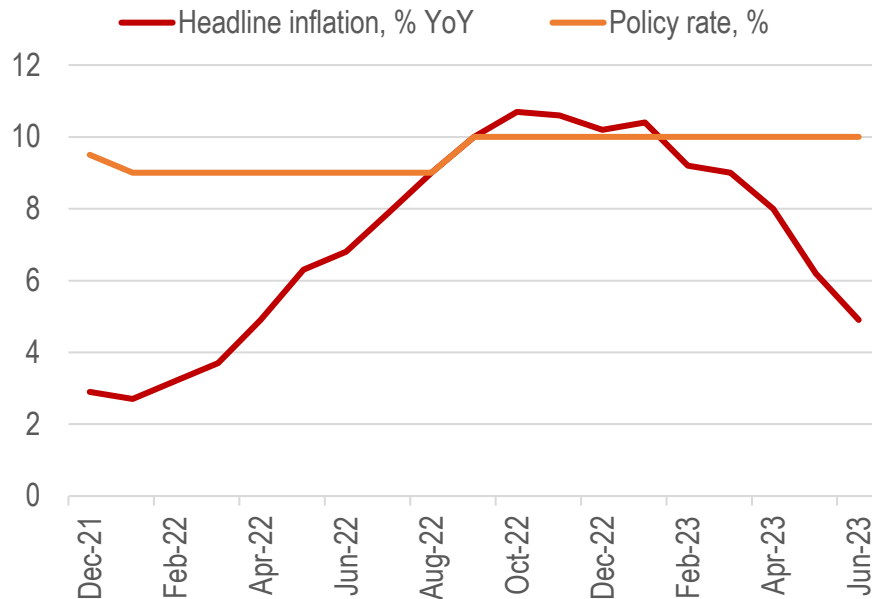
- The copper price is expected to remain strong over the medium term, which is partly why the current account deficit is projected to narrow over that period, which is positive for the DRC's external position.
- The risk to the current account is higher-than-planned government spending which would exert further pressure on the Congolese franc to depreciate.

Uganda: restoration of low inflation

Sharp and early rate hikes explain significant slowdown in inflation



Figure 22: Uganda: inflation and policy interest rate



- The MPC increased the policy rate by 350bps in 2022, to 10.0%.
- We see inflation in the low-to-mid-single-digits in 2024.
- The shilling appreciated by 5%, in year to date to Ushs3,670/\$1 on 3 July 2023.
- While the Ugandan shilling has depreciated against the US dollar and euro, it has strengthened against currencies of its regional trade partners. This implies the Ugandan shilling has become overvalued, which implies it is likely to depreciate.

Figure 23: Uganda: yield curve, %

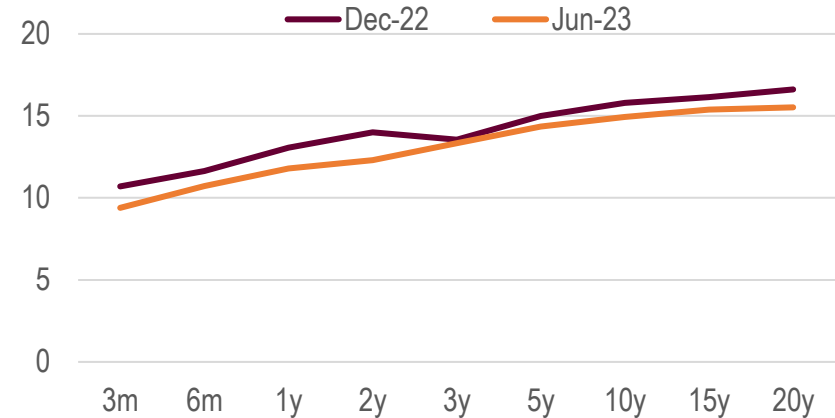
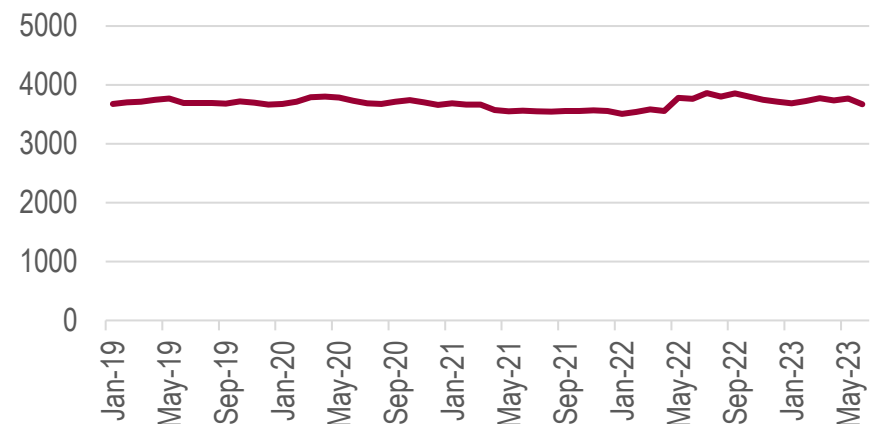


Figure 26: Uganda: foreign exchange rate, Ushs/\$1

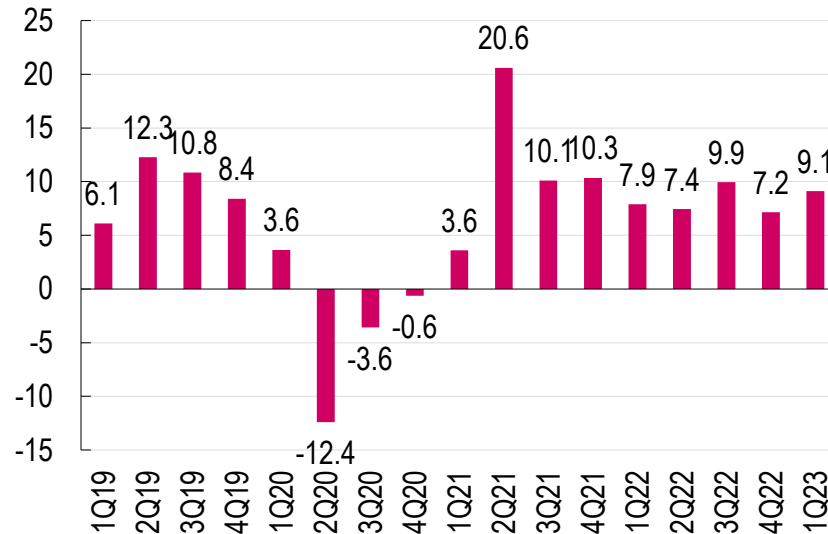


Rwanda: fastest growing of the economies Equity operates in

Tight policy may subdue growth



Figure 28: Rwanda: real GDP growth, % YoY



- Rwanda's economy is projected to slow down to 6.2% in 2023 from estimated 8.2% in 2022.
- The fast-paced post-pandemic growth in 2022 has been hindered by emerging macroeconomic imbalances. Rising food prices and strong domestic demand fueled by high credit growth contributed to a persistent inflation which stood at 17.3% in July

Figure 29: Rwanda: inflation and policy interest rate

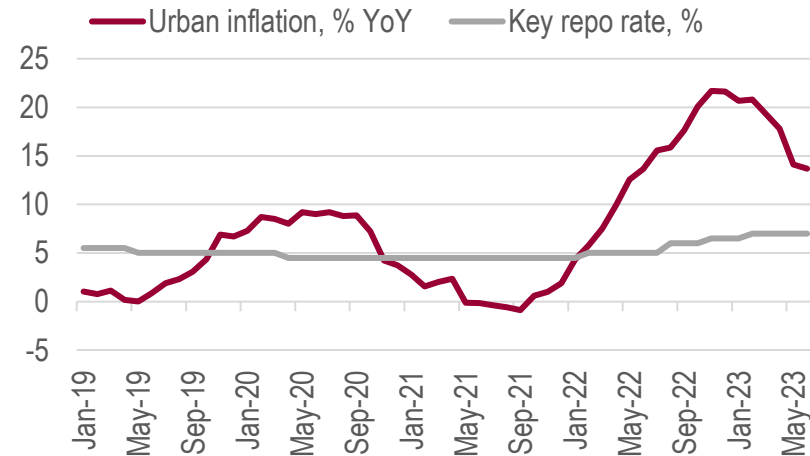
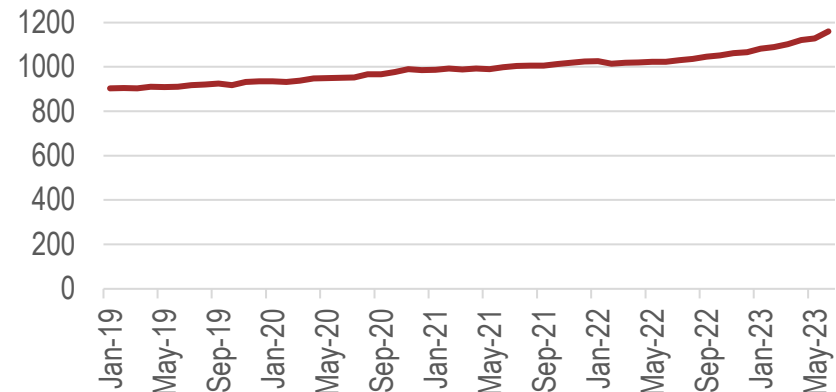


Figure 34: Rwanda: foreign exchange rate, Ushs/\$1

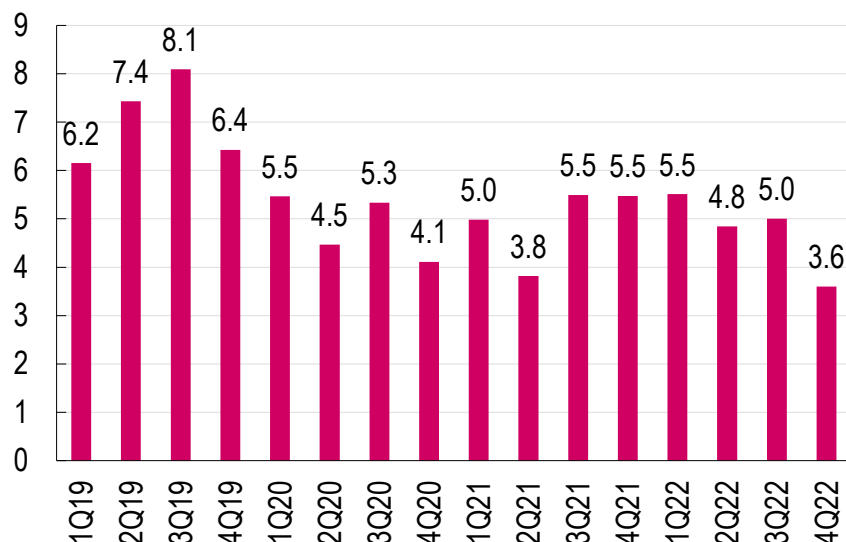


Tanzania: pick up in GDP growth

Growth to increase to 7.0% over medium term



Figure 39: Tanzania: contribution to real GDP growth in 1Q23, ppts



- Tanzania's economic growth is expected to pick up to 5.0-5.5% in 2023 by the IMF, owing to softer global commodity prices and an improvement in the domestic business environment.
- Growth is expected to accelerate to 7.0% over the medium term, as the government's reforms begin to bear fruit. Beyond that, project construction-related to the LNG sector is expected to boost growth in 2026-2030.

Figure 42: Tanzania: inflation and policy rate

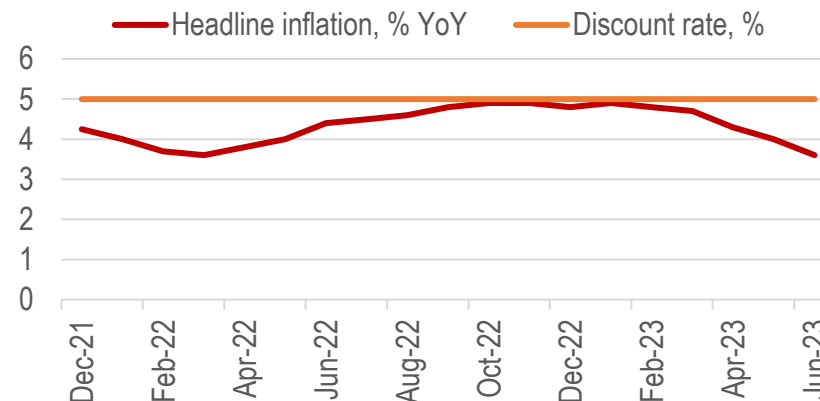
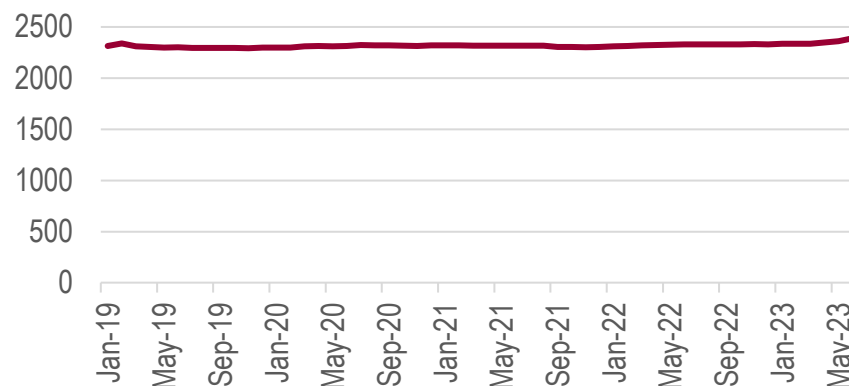


Figure 45: Tanzania: foreign exchange rate, Tshs/\$1

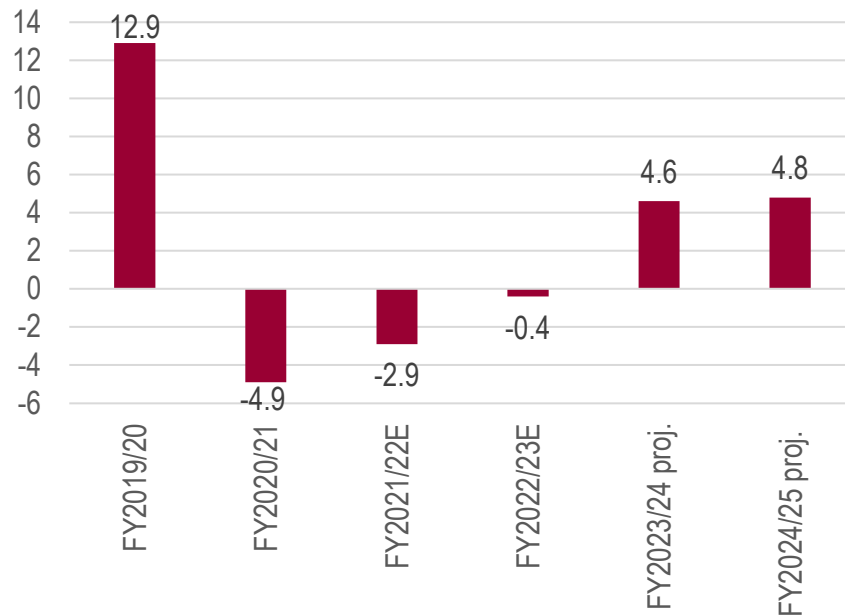


South Sudan: fall in oil production

GDP growth and current account also undermined by instability in Sudan



Figure 47: South Sudan – real GDP growth, %



- The oil sector – which accounts for 70% of GDP – saw production decrease from 170kbpd in FY2019/20 and is estimated to have averaged 150kbpd in FY2022/23 by the IMF. The government expects production to decrease further to 132kbpd in FY2023/24, which is negative for growth.
- One of the reforms under its IMF program included converging the official and parallel exchange rates. Both exchange rates weakened sharply, by 50% against the US dollar, in the year to date.

Figure 49: South Sudan: foreign exchange rates, SSP/\$1

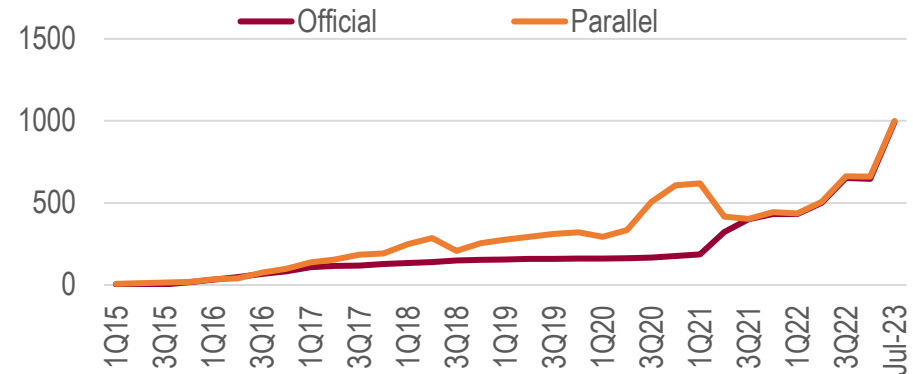
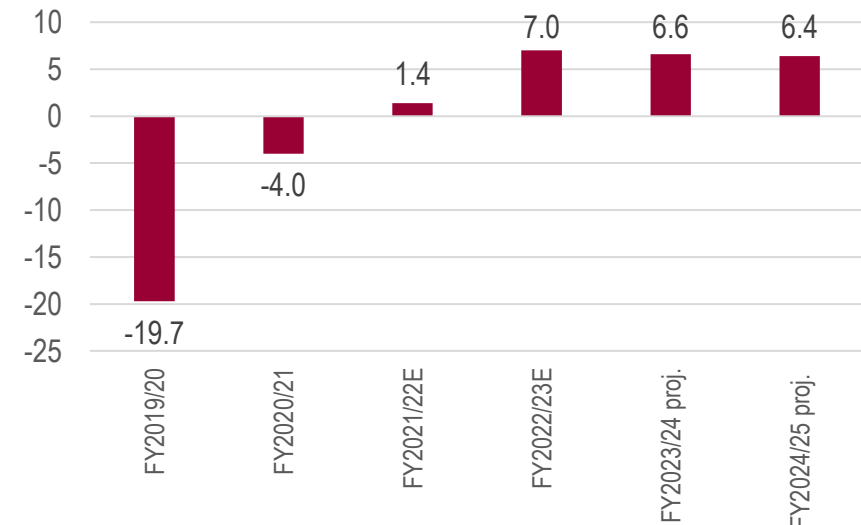


Figure 48: South Sudan: current account deficit, % of GDP



THANK YOU

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